



HINDUSTAN COPPER LIMITED

(A Government of India Enterprise)

AUDITORS

M/s. K B Chandna & Company, New Delhi

M/s. Ray & Company, Kolkata

CONTENTS

1.	Board of Directors	...	1
2.	Notice to Member	...	2
3.	Director's Report	...	7
4.	Ten Years at a Glance	...	33
5.	Auditors' Report	...	34
6.	Balance Sheet	...	41
7.	Profit & Loss Account	...	42
8.	Schedule to Accounts	...	43
9.	Accounting Policies	...	54
10.	Notes on Accounts	...	58
11.	Capital Expenditure on Township and Social Amenities	...	72
12.	Social Overheads including Expenditure on Township	...	73
13.	Balance Sheet Abstract and Company's General Business Profile	...	74
14.	Cash Flow Statement	...	75

BANKERS

State Bank of India
State Bank of Bikaner and Jaipur
United Bank of India
Indian Overseas Bank
Punjab National Bank
State Bank of Hyderabad
Syndicate Bank

REGISTERED OFFICE

'Tamra Bhavan'
1 Ashutosh Chowdhury Avenue
Kolkata-700 019



BOARD OF DIRECTORS



Satish C. Gupta



Ajita Bajpai Pande



M. Samajpati



S. K. Mittal



D. Satapathy



K. D. Diwan



Arun Kr. Mago



S. K. Banerjee



Michael Bastian



S. Hazarika



M. K. Murthy



Mukesh Khare



NOTICE FOR ANNUAL GENERAL MEETING

Notice is hereby given that 41st Annual General Meeting of the members of Hindustan Copper Limited will be held on Thursday the 28th August, 2008 at 3.30 pm in the registered office of the Company at 'Tamra Bhavan' 1 Ashutosh Chowdhury Avenue, Kolkata-700 019 to transact the following business :-

Ordinary Business

- 1) To receive, consider and adopt the Audited Balance Sheet as on 31st March, 2008 and the Profit and Loss Account for the year ended 31st March, 2008 together with the Directors' Report, Auditors' Report and C&AG's comments.
- 2) To fix the remuneration of the Auditors.

Special Business

- 3) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Shri Arun Kumar Mago as Director on the Board of the Company with effect from 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008 be and is hereby approved."
- 4) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Shri Sakti Kumar Banerjee as Director on the Board of the Company with effect from 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008 be and is hereby approved."
- 5) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Shri Mani Krishna Murthy as Director on the Board of the Company with effect from 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008 be and is hereby approved."
- 6) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Shri Michael Bastian as Director on the Board of the Company with effect from 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008 be and is hereby approved."
- 7) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :
"RESOLVED THAT appointment of Dr. Mukesh Khare as Director on the Board of the Company with effect from 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008 be and is hereby approved."



- 8) To consider and, if thought fit, to pass with or without modifications, the following resolution as Ordinary Resolution :

“RESOLVED THAT appointment of Shri Shantikam Hazarika as Director on the Board of the Company with effect from 7.1.2008 in terms of Ministry of Mines’ order No.10(1)/2002-Met.III dated 7.1.2008 be and is hereby approved.”

- 9) To consider and, if thought fit, to pass with or without modifications, the following resolution as Special Resolution :

“RESOLVED THAT pursuant to the provisions of Securities and Exchange Board of India (Delisting of Securities) Guidelines, 2003 and other applicable laws, rules, regulations and subject to such approval as may be required from regulatory bodies, consent of the Company be and is hereby accorded to the Board of Directors for delisting equity shares of the Company from Calcutta Stock Exchange Association Limited, Madras Stock Exchange Limited, Delhi Stock Exchange Association Limited and Ahmedabad Stock Exchange Limited.”

By order of the Board

Place : Kolkata
Date : 1.8.2008

C S Singhi
DGM & Co Secretary

NOTES :

- i) A member of the Company entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and on a poll, to vote instead of himself/herself and the proxy need not be a member of the Company. Proxies, in order to be valid and effective, must be deposited with the registered office of the Company not less than 48 hours before the commencement of the meeting.
- ii) The Register of Members and Share Transfer Books of the Company will remain closed from 26th August, 2008 to 28th August, 2008 (both days inclusive).
- iii) Members are requested to kindly notify immediately change in their address, if any, to the Depository Participants (DPs) in respect of their electronic shares, and to the Company at its registered office in respect of their physical shares, quoting the folio numbers.
- iv) Members desirous of getting any information about the accounts and operations of the Company are requested to address their queries to the Company at least a week prior to the date of the meeting, so that the information required can be made readily available at the meeting.
- v) Pursuant to Section 619(2) of the Companies Act, 1956, the Auditors of a Government Company are appointed or re-appointed by the Comptroller and Auditor General of India and in terms of Section 224(8)(aa) of the Act their remuneration has to be fixed by the Company in the general meeting. The appointment of Statutory Auditors of the Company for the year 2008-2009 is being made by C&AG of India. The Annual General Meeting may authorise the Board to fix up an appropriate remuneration of Auditors for the year 2008-2009.
- vi) Explanatory Statement pursuant to Section 173(2) of the Companies Act, 1956, in respect of Item No.3, 4, 5, 6, 7, 8 & 9 as set out above, is annexed hereto.



ANNEXURE TO NOTICE

(Explanatory Statement pursuant to Section 173(2) of the Companies Act, 1956)

Item No. 3

Shri Arun Kumar Mago, former Chief Secretary, Government of Maharashtra has been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008. It is now proposed to regularise his appointment at the ensuing 41st Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Shri Arun Kumar Mago is IAS (1967), MSc (Physics), M. Phil (Social Sciences) and holds diploma in Management and Public Administration. Shri Mago retired in 2004 as Chief Secretary, Government of Maharashtra. Earlier he was Chairman, Maharashtra State Electricity Board and Mumbai Port Trust. Shri Mago has over 37 years experience in different capacities in the State and Central Government in several sectors which include energy, port, urban infrastructure, environment, forest and industries etc. Shri Mago is also independent director on the Board of Shipping Corporation of India Ltd., Yes Bank Ltd. and NHPC Ltd.

None of the Directors of the Company, except Shri Arun Kumar Mago, is in any way concerned or interested in the resolution.

Item No. 4

Shri Sakti Kumar Banerjee, former CMD, National Aluminium Company Ltd. has been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008. It is now proposed to regularise his appointment at the ensuing 41st Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Shri Sakti Kumar Banerjee is BE (Civil) from Jadavpur University, Kolkata, fellow and life member of Indian Council of Arbitration, Institution of Engineers, Institute of Directors, Society of Civil Engineers, and executive committee member of Indian Institute of Metal, Kolkata Chapter. Shri Banerjee has over 39 years experience in PSUs and Government organisations in chemical, fertilizer and aluminium sectors. Presently, he is Managing Director, PervCom Consulting Pvt. Ltd. and also independently on the Board of Manganese Ore (India) Ltd., Himadri Chemicals and Industries Ltd. and Techpro System.

None of the Directors of the Company, except Shri Sakti Kumar Banerjee, is in any way concerned or interested in the resolution.

Item No. 5

Shri Mani Krishna Murthy, former CMD, Cochin Shipyard Ltd. has been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008. It is now proposed to regularise his appointment at the ensuing 41st Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Shri Mani Krishna Murthy is Mech. Engg. (specialisation in Marine Engineering) from Naval College of Engineering, Maharashtra and MSc in Higher Defence Management from National Defence College, New Delhi. During his career of over 30 years in the Indian Navy, Shri Murthy held many top level and challenging posts in Naval



Dockyards and at sea. He was on the Board of Cochin Shipyard Ltd. for 9 years, initially as Director (Operations) and subsequently as CMD. Currently, Shri Murthy is sharing his knowledge and experience with MBA students of PSGIM, Coimbatore and also independent director of Mazagon Dock Ltd. and Hindustan Shipyard Ltd.

None of the Directors of the Company, except Shri Mani Krishna Murthy, is in any way concerned or interested in the resolution.

Item No. 6

Shri Michael Bastian, former CMD, Syndicate Bank has been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008. It is now proposed to regularise his appointment at the ensuing 41st Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Shri Michael Bastian is B.Com and fellow member of The Institute of Chartered Accountants of India (FCA). Shri Bastian had held senior managerial positions in the Union Bank of India at Mumbai, Cochin, Chennai, Bangalore & London and was promoted as General Manager. He was also Executive Director of Vijaya Bank and later officiated as CMD. Shri Bastian was, thereafter, appointed as CMD, Syndicate Bank. Shri Bastian is currently independent director on the Board of Indian Oil Corporation, Orient Paper and industries Ltd. and various other companies.

None of the Directors of the Company, except Shri Michael Bastian, is in any way concerned or interested in the resolution.

Item No. 7

Dr. Mukesh Khare, Professor, IIT (Delhi) has been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008. It is now proposed to regularise his appointment at the ensuing 41st Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Dr. Mukesh Khare is Ph.D in faculty of engineering (specialisation in Air Quality) from University of New Castle, UK and Fellow, Wessex Institute of Great Britain. Dr. Khare has published over 50 research articles in professional journals and written three books on environment and pollution. He is currently serving as Professor in the Department of Civil Engineering at IIT, Delhi and also Consultant (Air Pollution), Govt. of India.

None of the Directors of the Company, except Dr. Mukesh Khare, is in any way concerned or interested in the resolution.

Item No. 8

Shri Shantikam Hazarika, Director, Assam Institute of Management has been appointed as part-time non-official Director of the Company w.e.f. 7.1.2008 in terms of Ministry of Mines' order No.10(1)/2002-Met.III dated 7.1.2008. It is now proposed to regularise his appointment at the ensuing 41st Annual General Meeting of the Company in order to comply with the relevant provisions of the Companies Act, 1956.

Shri Shantikam Hazarika is BE (Electrical) and holds PG diploma in Management from IIM, Ahmedabad. He is founder director, Assam Institute of Management and a member of Assam State Electricity Board. Shri Hazarika



is also chairman ,Gauhati Stock Exchange Ltd and independent director on the Board of North Eastern Electric Power Corporation Ltd. and Lower Assam Electricity Distribution Company Ltd.

None of the Directors of the Company, except Shri Shantikam Hazarika, is in any way concerned or interested in the resolution.

Item No. 9

The equity shares of the Company are presently listed on Bombay Stock Exchange Limited (BSE), Calcutta Stock Exchange Association Limited (CSE), Madras Stock Exchange Limited (MSE), Delhi Stock Exchange Association Limited (DSE) and Ahmedabad Stock Exchange Limited (ASE).

The equity shares are actively traded only on the BSE and in the remaining four exchanges, no trading has been reported. There is, therefore, no tangible advantage accruing to the shareholders in continuing to keep the shares listed on CSE, MSE, DSE and ASE. On the other hand, it results in recurring cost and additional administrative work. It is, therefore, proposed to delist the equity shares of the Company from CSE, MSE, DSE and ASE. However, with extensive networking of BSE, the investors/shareholders have sufficient opportunity to trade in HCL's shares.

As per the SEBI (Delisting of Shares) Guidelines, 2003, shares of any listed company can be voluntarily delisted from all or some of the stock exchanges where the shares are listed, by following the procedure laid down therein. In terms of the guidelines, prior approval of the shareholders of the Company by way of special resolution in its general body meeting is required for delisting. Your directors, therefore, recommend the special resolution for approval of the shareholders.

Since the Company's shares will continue to remain listed in BSE having nationwide trading terminal, Company is not required to give exit option to the shareholders within the jurisdiction of CSE, MSE, DSE and ASE.

None of the Directors of the Company is in any way concerned or interested in the resolution.



REPORT OF THE BOARD OF DIRECTORS

The Shareholders
Hindustan Copper Limited
Kolkata

Your Directors have pleasure in presenting the fortieth annual report of the Company together with the audited statement of accounts and auditors' report thereon for the year ended 31st March, 2008.

1. FINANCIAL PERFORMANCE

The comparative working results for the years 2007-08 and 2006-07 are as under :

(Rs in crore)

Particulars	2007-08	2006-07
i. Sales (tonnes)	45,384	42,303
ii. Turnover	1839.79	1799.64
iii. Profit before tax	302.50	331.83
iv. Net profit after tax	246.46	313.94

Highlights

- The turnover was the highest since inception, registering 2.23% growth over 2006-07;
- Copper sales at 45,384 tonnes was the highest in last 9 years, and 7.28% higher than 42,303 tonnes sold in 2006-07; and
- Net profit after tax during the year was adversely affected primarily due to reduction in net realization on account of rupee appreciation (US dollar exchange rate during 2007-08 being Rs. 40.54 compared to Rs. 45.50 in 2006-07).

2. PRODUCTION PERFORMANCE

The comparative physical performance for the years 2007-08 and 2006-07 is as under :

Products	2007-2008				2006-2007			
	KCC	ICC	MCP	Total	KCC	ICC	MCP	Total
Ore raised (In '000 tonnes)	1003	49	2193	3245	1001	-	2270	3271
Ore milled (In '000 tonnes)	955	-	2335	3290	1010	-	2155	3165
Metal in concentrate (tonnes)	8952	314	22112	31378	9267	-	20964	30231
Cathodes (tonnes) - Own	27886	16848	-	44734	24258	14265	-	38523
Tolled	-	-	-	-	1262	-	-	1262
Total	27886	16848	-	44734	25520	14265	-	39785
CC Wire Rod (tonnes) - Own	}			42536	}			39393
Conversion	}	TCP		15687	}	TCP		3352
Total	}			58223	}			42745

KCC-Khetri Copper Complex, ICC-Indian Copper Complex, MCP-Malanjkhand Copper Project,
TCP-Taloja Copper Project, CC Wire Rod-Continuous Cast Wire Rod



Highlights

- Production of copper ore, metal in concentrate (MIC), cathode and CC wire rod was higher than targets – having achieved 101%, 101%, 112% and 154% of the respective targets during 2007-08;
- Cathode production at 44,734 tonnes was the highest in last 13 years;
- Production of CC wire rod at 58,223 tonnes was the highest since inception.

3. TECHNOLOGICAL UPGRADATION OF ICC SMELTER

An agreement for technology transfer and supply of equipment, such as concentrate burner and cooling element, to ICC smelter at Ghatsila was signed with M/s. Outotec, Finland on 8.11.2007. This is a need based step towards technological upgradation and debottlenecking of the ICC smelter. Installation of the new equipment would run concurrently with the smelter overhauling work, which has started from 4.4.2008. On completion, the smelter capacity would rise to 20,500 tonnes per annum from the existing 16,500 tonnes per annum. In addition, the smelter operation would become more energy efficient with a longer campaign life of the flash furnace.

4. IMPETUS TO MINING & MIC PRODUCTION

Surda mine at ICC, which was lying closed since 2003, has been reopened in December 2007, ahead of the planned schedule. During 2007-08, the mine produced 314 tonnes of copper metal in concentrate (MIC).

Development of Banwas copper deposit in Rajasthan, which is contiguous with the Khetri deposit, is planned as a separate mine in association with a competent mining company. The agency so selected would bring in new technology and make the required investments in the project which would include a new concentrator plant. With an ore reserve of about 22.5 million tonnes @ 1.69% copper content, Banwas is expected to produce 15,000 tonnes of copper metal in concentrate (MIC) annually.

Shortage of water has been a major bottleneck to achieve higher capacity utilization of the concentrator plant at KCC. To address the situation, a consultant has been appointed to identify new resources and suggest measures for increasing availability from existing sources.

To improve water conservation and recycling in the concentrator plant at KCC, a consultant has been appointed to carry out a feasibility study for installing thickened tailing disposal (TTD) system.

A reputed mining consultant has been engaged to study and identify short-term and long-term measures for MCP (open cast) mine and KCC (underground) mines. The short-term recommendations are under implementation while action plan is being formulated to implement the long-term recommendations.

The Company has formed a separate department for modernization to institutionalise implementation of strategic initiatives and to drive the agenda for debottlenecking and upgrading mining and plant operations on a long term basis.

5. POWER SUPPLY

Power supply position in the units of the Company was generally satisfactory during the year.

However, there were repeated power outages in ICC due to breakdowns in the systems of Jharkhand State Electricity Board (JSEB). The Company is examining various alternatives to overcome these bottlenecks in future.



6. ENERGY CONSERVATION

The Company continued to give priority to energy conservation at various stages of the production processes right from mining of ore to extraction of copper metal and by-products. Special efforts were made in making all operations energy efficient. For improving energy efficiency in the four individual units (i.e. Khetri Copper Complex, Indian Copper Complex, Malanjkhand Copper Project & Taloja Copper Project), an expert agency was appointed as technical consultants to carry out energy audit and to identify and recommend energy saving measures. Most of the recommendations of the consultant have been implemented and the balance are in progress. Energy audit cells of all the units are also constantly monitoring energy consumption in mines, plants and townships for overall reduction in energy consumption. Constant thrust was also given to improve power factor.

The achievements in regard to reduction in specific consumption over the previous year are shown below :

Sl No.	Specific Consumption	Unit	2006-07	2007-08	Energy Reduction (%) in 2007-08 over 2006-07
1	KCC smelter power	Kwh/T	1040.00	896.28	13.82%
2	KCC sulphuric acid power	Kwh/T	244.81	239.36	2.23%
3	KCC smelter fuel	Ltr/T	699.80	652.78	6.72%
4	KCC sulphuric acid fuel	Ltr/T	45.78	33.76	26.26%
5	KCC smelter oxygen	Nm ³ /T	687.10	629.66	8.36%
6	ICC refinery power	Kwh/T	284.82	278.30	2.29%
7	MCP mines power	Kwh/T	0.603	0.503	16.58%
8	MCP HSD consumption	Ltr/m ³	1.45	1.31	9.66%
9	TCP power	Kwh/T	99.56	83.90	15.73%
10	TCP natural gas consumption	Nm ³ /T	54.78	45.81	16.37%

7. ENVIRONMENT & POLLUTION CONTROL MEASURES

The ambient air quality is regularly monitored at the mines, process plants and residential areas of all units. The air pollution control projects, which were commissioned previously for meeting Pollution Control Board standards for gaseous emission from smelters and other plants, continued to be operational. An environment audit has been carried out during the year through an expert agency. Remedial measures based on their recommendations are being implemented at all the units.

Effluent treatment facilities installed at the units of the Company worked satisfactorily during the year and met regulatory norms set by State Pollution Control Boards. Recycling of process-discharged water after treatment also continued throughout the year. Solid waste from plants and hospitals was properly treated and safely disposed off or stored. To protect the environment and maintain ecological balance in the surrounding areas, Company undertakes tree plantation in and around its production units on a regular basis. Further, measures have also been taken to protect flora and fauna. Stress was given on housekeeping, cleanliness, hygiene and safety throughout the year at all units. Environment related workshops and seminars were conducted during the year.



8. INTRODUCTION OF SIX SIGMA PRACTICES

The Company has made breakthrough improvements in its smelter plant operations at KCC by introducing and adopting six-sigma methodologies. Projects for improvement were identified and implemented by teams of employees. Reductions have been achieved in revert generation, copper loss in slag and specific energy consumption. An estimated benefit of over Rs.9 crores is attributable to efforts carried out under six-sigma project during the year. Encouraged by the achievements in smelter plant, six-sigma approach has now been extended to refinery & acid plant at KCC.

9. SAFETY

Safety remains a high priority area, and the Company is aiming to achieve 'Zero Accident Potential'. Malanjkhanda copper mine maintained zero-accident status during 2007-08, like the previous year. Koliha copper mine reported only one accident while Khetri copper mine had eight accidents during the year. The total accidents in the Company were nine as against four in 2006-07. However, there was no fatal accident during the year.

Special training programmes have been organized for workers deployed in accident prone areas as identified during accident analysis. Regular safety campaigns, like fire service day, all India mine rescue competitions, annual safety week celebrations, etc. have been conducted with active participation of employees.

For the year 2004, Koliha and Khetri copper mines were declared the 'winner' and 'runners-up' respectively for the longest accident free period (LAFP) in 'metal below ground' mines category. Koliha copper mine was declared 'winner' for the years 2005 and 2006 respectively for the lowest injury frequency rate (LIFR) in 'metal below ground' mines category. The President of India, Her Excellency Smt. Pratibha Patil handed over the said awards to the representatives of Khetri and Koliha copper mines at a function organized by the Ministry of Labour & Employment, Govt. of India at Vigyan Bhavan, New Delhi on 6.5.2008.

10. DEVELOPMENT OF SSI AND ANCILLARY UNITS

All production units of the Company continued to follow Government guidelines in encouraging procurement of materials from SSI & Ancillary units. During the year 2007-08, the Company procured grinding media (cast iron balls) worth more than Rs.15 crore from the SSI Consortia Units of M/s. NSIC Limited. Company has also been procuring other materials from SSI units through tendering process, in which the SSI units, registered with NSIC, are exempted from payment of earnest money deposit (EMD) in full, and security deposit to the extent of their monetary limits.

In order to encourage SSI units to supply material at competitive prices, Company has participated in the "Buyer-Seller Meet" and "Expo-Orissa", organized by the Ministry of Micro, Small & Medium Enterprises from time to time. Besides, Company has also organized "Suppliers Meet" across its units during the year in its continued efforts to develop SSI and Ancillary units.

11. RESEARCH & DEVELOPMENT / SCIENCE & TECHNOLOGY / TECHNOLOGY ABSORPTION

Towards R&D, Company in collaboration with the Institute of Minerals & Materials Technology (IMMT), Bhubaneswar has taken up a project on Bioheap leaching. The project has been principally approved by the Department of Science and Technology (S&T), Govt. of India and fund for the same is awaited.



Further, to give R&D thrust in other areas as well, the Company has signed MOU with IMMT to work on R&D programmes. The MoU also envisages framing proposals for Government funding wherever applicable.

M/s. Earth Resources Technology Consultants were engaged for optimization of blasting fragmentation at MCP for productivity improvement. Various suggestions/ recommendations given by consultant have been implemented.

With a view to improving recovery of copper from ore, action has been initiated for procurement and installation of bigger (300 cft.) cells to replace the existing cleaner-1 & scavenger cells in flotation circuit of KCC concentrator plant.

R&D laboratory at ICC has been certified by NABL (National Accreditation Board for testing and calibration of Laboratories) following which NABL accreditation has been obtained. Similar certification for KCC's R&D laboratory is expected to be received from NABL shortly.

During the year, the Company gave thrust on improving operational practices with a view to inter alia reducing the processing costs. These were undertaken as part of a comprehensive turnaround plan code named "Operation Manthan". No new technology, however, has been absorbed during the year.

12. **SHARE CAPITAL REDUCTION**

The Ministry of Corporate Affairs (MCA), vide their order dated 16.4.08, have approved capital reduction by reducing the face value of equity shares from the existing Rs 10/- to Rs 5/- and also the waiver of the entire amount of preference share capital pursuant to financial restructuring proposal of the Company approved by Government in July 2007. The MCA order has been registered by the Registrar of Companies, West Bengal on 13.5.2008. The paid up share capital of the Company, as such, stands reduced from Rs 948,95,04,000 to Rs 384,10,90,000.

13. **IMPORTANT INITIATIVES**

13.1 **Enterprise Resource Planning (ERP)**

As a follow up on IT roadmap prepared by IIT, Kharagpur for the Company, a major IT initiative has been undertaken to implement ERP across all plants and offices of the Company. This will take care of the data processing & information needs of the Company and help information sharing and faster decision making. The ERP would cover all functional modules, like finance, manufacturing, materials, marketing, maintenance, HRMS & payroll and projects. The ERP project was kick-started in September 2007 and is planned for go-live in August 2008.

A fully equipped data centre has been commissioned at the Head Office, Kolkata, with high-end database servers and data communication network equipment with connectivity to all production units and offices. The data centre is equipped with enterprise management software to monitor complete network connectivity and data security systems.

For speedy intra-unit data communication, local area network (LAN) with optical fiber connectivity has been established at all the units. All units and sales offices are getting connected to the Head Office through high bandwidth MPLS-VPN (multi-protocol label switching-virtual private network) connectivity from M/s. Reliance Communications.

To support smooth changeover to ERP system, IT culture and computer awareness is being promoted



through basic computer training to employees and strengthening the IT infrastructure by installing additional computer hardware.

A new mailing solution (Lotus Domino) was implemented in June 2007 with a central mail server in the Head Office to have a uniform mailing system across the Company.

13.2 **Third Party Logistics (3PL) service contract for handling and transportation**

Because of multi-locational operations, management of logistics has been a critical factor. The Company awarded a 3PL contract during the year for providing total logistics solution in the Company across all units. This comprises end-to-end multimodal transportation of semi-finished and finished products from and to the operating units. The entire operation works as a “single window service” which eliminates multiple handling of cargo thus avoiding loss of material in transit. The estimated savings under the new system work out to Rs 1.20 crore in the 1st year and Rs 3.40 crore during the 2nd year. In addition to direct savings, the following benefits have also accrued under this modern concept of logistics management :

- i. A more efficient and professionally managed complete logistics solution.
- ii. Savings on management time which was otherwise expended for managing multiple activity-wise and unit-wise contracts with multiple agencies.
- iii. Avoidance of thefts and pilferages in transit.

13.3 **Hedging**

Hedging of copper through commodity exchanges, as a risk management initiative has been introduced. Requisite steps, like appointment of brokers, etc., have been completed for start up of hedging operations.

13.4 **e-Banking**

The Company has introduced internet banking facility at all its units, and e-payment is being made to the suppliers / contractors / outsiders through corporate internet banking system (CINB). Present coverage of e-banking is 80-85%, which will be further improved in due course.

14. **PROGRESSIVE USE OF HINDI**

HCL has consistently endeavoured to promote the use of Hindi in all its units that are located in different States, and at its Head Office in Kolkata. ‘Hindi Fortnight’, ‘Hindi Week’ and ‘Hindi Day’ were celebrated from 14th to 28th September, 2007 under which a number of Hindi competitions were organized at all locations with a view to inculcating interest amongst employees towards the use of Hindi. Prizes were given to the winners. The messages of Hon’ble Home Minister, Hon’ble Mines Minister, Secretary (Mines) and CMD were circulated / read-out in all offices /units on the occasion of ‘Hindi Day’. Employees are being constantly motivated to use Hindi in their day to day official work. Hindi workshops are conducted in the units and Head Office at regular intervals. Regular review with regard to progressive use of Hindi was carried out in quarterly meetings of Official Language Implementation Committee (OLIC) under the chairmanship of unit heads at production units, and CMD at the Head Office.

During the year, Indian Copper Complex, Ghatsila, Jharkhand, and the Mumbai marketing office of the Company, where more than 80% employees have acquired the working knowledge of Hindi, have been notified under Rule 10(4) of The Official Languages (use for Official Purpose of the Union) Rules, 1976



by the Ministry of Mines. The Head Office of the Company was awarded with Rajbhasha Shield and a citation letter under the Official Language Award Scheme, 2006-07 of Town Official Language Implementation Committee (PSUs), Kolkata on 30th August, 2007. Four manuals of the Company have been sent to Central Translation Bureau, New Delhi for Hindi translation. To promote Hindi publications, a book entitled “The Stairway to Excellence” originally written in English by the prominent Management Guru, Shri G Narayan, was translated and published in Hindi under the heading “Shreshthata Ke Sopan”.

Use of Hindi is being reviewed regularly at the Board meetings. Several Hindi posters have been displayed in prominent places at offices and units. Hindi books have also been purchased during the year. The house journal of the Company, “Tamralipi”, is published both in Hindi and English and distributed among employees regularly, and also sent to the members of the Hindi Advisory Committee. “Everyday one Hindi word” scheme is also operational for improving the Hindi vocabulary. The use of Hindi in computers has been reinforced, and advanced Hindi software acquired.

15. MANAGEMENT DISCUSSION AND ANALYSIS

15.1 Industry structure and developments

Till 1997, your Company was the only Company producing primary refined copper in the country meeting between 25-30% of the country’s refined copper requirement, the balance being imported. Presently, four major players with a total installed production capacity of 9,97,500 tonnes of refined copper dominate the Indian copper industry. However, HCL with production capacity of 47,500 tonnes per annum continues to be the only vertically integrated primary copper producer having its own captive mines. The captive mines meet about 60% of Company’s requirement for copper concentrate, the rest being imported. Efforts are underway to increase mine production to become self-sufficient at the earliest. The two private sector companies, viz., M/s.Hindalco Industries Ltd. (Unit : Birla Copper) and M/s.Sterlite Industries (I) Ltd., with production capacities of 5,00,000 tonnes and 4,00,000 tonnes per annum respectively, have set up shore-based smelters relying on imported concentrate. The fourth player, M/s.Jhagadia Copper Ltd. with plant capacity of 50,000 tonnes per annum produces refined copper through the secondary route (using copper scrap as raw material). While the private Companies have the benefits of large scale of operation along with locational advantages, HCL has a competitive advantage by virtue of its ownership of mines.

Over the past few years, there has been significant growth in the Indian copper industry with India becoming a net exporter of refined copper as opposed to its earlier position when bulk of the refined copper requirements of the country had to be imported.

15.2 Business scenario

Over the past few years, demand for copper in the global market has been growing steadily at 3-4%. The demand growth in Asian countries, particularly China is driving price buoyancy on the London Metal Exchange (LME), and the trend is expected to continue, at least in the near future. The LME average price during 2007-08 was at a healthy level of US \$7584 per tonne.

As per the estimates of Indian Copper Development Centre (ICDC), the total refined copper usage in India was approximately 5,30,000 tonnes, and its export was 2,00,000 tonnes during 2007-08. Considering the growth of the economy and emphasis on power and infrastructure development, the rise in copper consumption is expected to continue with a projected demand growth of about 8% per year.



Electrical, electronics and telecommunication sectors account for nearly 52% of copper usage in India. Government of India's initiative to boost telecom, power and infrastructural sectors coupled with the boom in automobiles and consumer durables are driving copper demand in India. The usage of copper for plumbing in building construction, as prevalent in the western world, is slowly making inroads into metro cities and industrial projects in India.

15.3 Opportunities and threats

In India, there is under-capacity at the mining stage vis-à-vis the refining capacity which presents a vast opportunity for the Company being the only Company in the country holding all operating copper mining leases. Out of 370 million tonnes of copper ore reserves in the country, Company's lease rights cover more than 280 million tonnes. The Company has adequate opportunity to augment its mining capacity by increasing production from the existing mines and by developing new ore resources besides reopening some of the mines that were closed in the past. Accordingly, the Company has reoriented its business strategy to take advantage of the situation.

The export market in the Asian region presents a good opportunity for the Company.

Threat perception for the Company includes intense volatility in world copper prices and the rising cost of inputs, particularly power and fuel due to global inflationary trends. Furthermore, it is inevitable that the Company may also witness threat to its market share on account of competition from imports and other domestic manufacturers.

The operating margins of smelters are derived from treatment / refining charges (TC/RCs) which are factored into the pricing of copper concentrate. TC/RCs are likely to remain depressed as smelter capacities the world over remain in excess of the mining capacity. The resultant short supply of copper concentrate and low TC/RCs will continue to affect revenues from smelter operations till the Company does not become self-reliant in production of copper concentrate from its captive mines.

15.4 Productwise performance

During 2007-08, the Company sold 45,384 tonnes of refined copper as against 42,303 tonnes in 2006-07, achieving a growth of 7.28%. Of the total product portfolio, CC wire rod accounted for sales of 93.39%. The Company has also entered into a niche product market and initially supplied 123 tonnes of rectangular copper conductor to Chittaranjan Locomotive Works (Indian Railways) in 2007-08. A further order has also been received which is under process.

Productwise break-up of copper sales during 2007-08 vis-à-vis 2006-07 is as follows :

(tonnes)		
Copper Product	2007-08	2006-07
CC wire rod	42,378	39,651
Wire bar	- *	522
Cathode	2,883	2,130
Copper Conductor	123	-
Total	45,384	42,303

* Production suspended based on market conditions.

The Company exported 503 tonnes of CC wire rods in 2007-08. In order to boost exports and establish its brand in the world market, the process of LME registration has been initiated. Approximately 422



tonnes of CC wire rods have also been exported (as deemed exports). Besides the main products, Company produced 41,990 tonnes of sulphuric acid as by-product. Due to the present duty structure and other factors, export of anode slime, another by-product, containing gold and silver, was found to be economic and advantageous, as compared to in-house recovery of the precious metals; 75 tonnes of anode slime was exported during the year.

Regular customer meets at the top management level have been organized at metro cities to come upto date with market developments, receiving feed backs from customers, and for developing long-term customer relationships.

15.5 **Future outlook**

India's GDP should continue to grow at as the country continues its journey to be in the league of developed nations. This economic growth will further boost the demand for copper in the coming years.

World copper prices, though volatile, are likely to remain at high levels, and in any case significantly higher than breakeven levels, thereby ensuring the Company's sustained profitability, particularly with the emphasis now being placed on mining, the area where it has strength.

In line with the stipulation in the financial restructuring package as recommended by BRPSE and approved by the Government of India, thrust has been given to mining, and the Company proposes to explore / exploit and develop new deposits and optimise production from the existing mines. The Company's thrust for the year 2008-09 would be to further augment mines production, increase efficiency of process plants and streamline the procurement / disposal process. Implementation of enterprise resource planning (ERP) software across all units and functions of the Company will bring efficiency, speed and discipline in its business operations.

15.6 **Risks and concerns**

Main business risks faced by the Company arise out of volatility of LME price of copper and hardening of the rupee against US \$. To insulate itself from the LME price risk, the Company has introduced hedging as a risk mitigation tool.

15.7 **Internal control systems and their adequacy**

The Company has a well-established internal control system commensurate with its size. Internal audit reports are discussed in the Audit committee meetings and suitable corrective actions taken by the management. As per Government guidelines, the Company has introduced e-tendering for procurement of materials for greater transparency.

15.8 **Vigilance activities**

Surprise checks/regular inspections were conducted for effective control. Returns and reports were submitted to the statutory agencies. CVC's guidelines, received from time to time, were followed and adhered to. A campaign for creating awareness was taken up by organizing the vigilance awareness week celebration between 12.11.2007 and 16.11.2007 in all the units, including the Head Office. Stress was given on preventive vigilance with a view to reducing the scope for corruption while improving systems and procedures.

For ensuring transparency, equity and competitiveness in public procurement activities, CVC vide its office order no.41/12/07 dated 4.12.2007 has prescribed adoption of integrity pact in major procurement activities. In pursuance of above guidelines, the Company is taking necessary steps for adoption of



integrity pact in the Company with the monetary limit of above Rs.20 crore in case of supply/purchase contract and above Rs.10 crore in case of works contracts.

15.9 Discussion on financial performance with respect to operational performance

15.9.1 The summarized financial performance for 2007-08 compared with 2006-07 is given below :

(Rs in crore)

H e a d	2007-08	2006-07
a. Sales	1839.79	1799.64
b. Net of Extraordinary Income/(Expenses)	(17.00)	(18.02)
c. Value of Production	1993.48	1909.18
d. Cost of production excluding depreciation, provisions, write-off and interest	1583.58	1447.85
e. Profit before depreciation, provisions, write-off and interest	392.90	443.31
f. Depreciation, provisions and write-off	62.39	76.63
g. Interest	28.01	34.85
h. Profit before tax	302.50	331.83
i. Provision for taxation - Current	48.00	21.07
- Fringe Benefit	0.34	0.29
- Deferred	7.70	(3.47)
j. Profit after tax	246.46	313.94
k. Cash Profit	316.55	387.10

During the financial year 2007-08, the Company earned profit after tax of Rs 246.46 crore as against Rs 313.94 crore in the previous year. This was on account of a downward movement in currency exchange rates as well as customs duty during the year which adversely affected the price realization and so also the bottomline.

15.9.2 Capital expenditure

During the year, no Government support on account of capital expenditure has been received as the Company proposes to meet its capital expenditure out of internal resources from the year 2007-08 onwards. The approved capital outlay on account of Replacement & Renewal (R&R) of the existing plant & machinery stands at Rs 78 crore, out of which actual payment made during the year was Rs 37.22 crore. The balance expenditure will be incurred in 2008-09.

15.9.3 Loans (secured and unsecured)

The outstanding non-plan loan of Rs 50 crore has been converted into equity in pursuance of the financial restructuring proposal approved by the Government in July, 2007 against which shares shall be issued by the Company in the name of the President of India.

The Company has fully redeemed 14% secured redeemable debenture by repaying the outstanding debenture liability of Rs 12.50 crore during the year.

During the year, the Company, on the scheduled date has repaid Rs 37.50 crore of the 7.5% corporate



term loan of Rs 150 crore. The entire balance outstanding amount of Rs 112.50 crore has also been repaid in May '08 in one go thereby making the Company debt free.

15.9.4 Contribution to exchequer

During the year 2007-08, the Company contributed a sum of Rs 513.44 crore to the exchequer by way of duties, taxes and royalty, as against Rs 473.91 crore in 2006-07, as detailed below :

Particulars	Rs in crore	
	2007-08	2006-07
Excise Duty	245.82	241.78
Customs Duty	125.10	118.85
Sales Tax	47.90	42.40
Royalty and Cess	32.99	37.01
Income Tax	48.34	21.36
Others	13.29	12.51
Total :	513.44	473.91

15.9.5 Expenditure in foreign currency

During 2007-08, the Company spent foreign currency towards import of copper concentrate, components, stores & spares, traveling and consultation fees, etc. to the tune of Rs 591.49 crore as compared to Rs 321.77 crore in 2006-07.

15.9.6 Earnings in foreign exchange

During 2007-08, the Company earned foreign exchange of Rs 75.46 crore through exports of CC wire rod and anode slime, as against Rs 78.20 crore earned in 2006-07.

15.10 Developments in human resources / industrial relations

15.10.1 HR initiatives

Employee oriented schemes, like the modified suggestion scheme (to ensure greater employee participation in the Company's progress), a revised scholarship scheme for the meritorious children of employees and a revised leave travel concession scheme, have been introduced during the year. An incentive scheme based on production, productivity, cost & overall business performance of the Company has been introduced. In order to instill a competitive spirit among employees in different units of the Company, an awards scheme has been introduced to recognise the best unit of the Company for the year based on parameters like production and productivity, safety, industrial relations, ecology and environment.

Social security measures, like insurance coverage against accidents for employees and a Benevolent Fund scheme providing for payment of compensation in the event of death of an employee while in service, have been introduced.

The focus has been on gainful utilization of available manpower in core areas of operation through training and redeployment. The Company outsourced canteen operations at two units, viz. KCC & ICC and also redeployed manpower from non core to core areas of production on the basis of qualification, experience, etc.



To offer employees better living conditions, the Company townships have been given a facelift and new facilities have been extended. The hospital facilities are being improved in a phased manner. All employees have been provided with uniforms of identical quality and colour.

15.10.2 **Manpower**

Manpower strength of the Company as on 31.3.2008 was 5,405 as against 5,451 on 1.4.2007. During 2007-08, 3 employees were released on voluntary retirement (VR). Industrial relations in the Company were peaceful and harmonious.

Employment under all categories as on 31.3.2008

Group	Manpower	SC	ST	Land displaced persons	Minorities	OBC	Female
A	684	81	23	-	32	46	25
B	129	17	8	-	4	23	10
C	3779	601	506	195	112	558	140
D	813	186	140	202	29	30	133
Total	5405	885	677	397	177	657	308

15.10.3 **Recruitment**

The Company recruited 69 Graduate Engineer Trainees (GETs) and Management Trainees (MTs) after a gap of a decade in various disciplines. The recruitment was done through competitive examination on all India basis. Such induction will greatly help in succession planning.

Besides, Company recruited 19 executives during the year in various executive positions to address the needs of executive manpower in different disciplines.

15.10.4 **Employees participation in management**

Employee participation in management has been the backbone of harmonious industrial relations in the Company. Successful operation of various bipartite forums at all three levels, namely, at the apex level, unit level and the shop floor level has contributed in a major way to the smooth performance of the Company. Quality circles have been functioning at the production units of the Company paving the way for enhanced employee empowerment.

15.10.5 **Reservation for appointment of SC / ST / OBC candidates**

Out of the total manpower of 5,405, the representation of SC, ST and OBC employees is 16.37%, 12.53% and 12.16%, respectively as on 31.3.2008.

15.10.6 **Communal harmony and national integration**

In the Company's townships at Khetri, Malanjkhand and Ghatsila as well as in other places of work, the employees and their family members live in a spirit of harmony and togetherness and joyously celebrate all religious and social festivals irrespective of caste, creed, religion and language.



15.10.7 **Employment of women**

Groupwise strength of women employees as on 31.3.2008 vis-à-vis the total manpower is given below:

Group	Total strength	No. of women employees	% of women employees to total strength
Group A	684	25	3.65%
Group B	129	10	7.75%
Group C	3779	140	3.70%
Group D	813	133	16.36%
Total	5405	308	5.70%

In pursuance of the judgement of the Hon'ble Supreme Court, the Company has set up committees in all the units/offices of the Company for prevention of sexual harassment of women in work places. A provision in this regard has also been incorporated in the 'Conduct, Discipline and Appeal Rules' of the Company.

During the year under report, no incidence of sexual harassment of women or discrimination amongst employees on the basis of gender has been reported.

15.10.8 **Progress achieved with regard to the well being of older persons**

The retired employees of the Company as well as their spouse are extended medical treatment at the Company's own Hospitals at the units. Company also extends support to 'Mahila Samity' and other institutions/NGOs in their endeavour to run 'Health camps' for the local population. For the VR separated and superannuated employees of the Company, a Group Medical Insurance Scheme has been introduced which provides hospitalization coverage to the extent of Rs 2 lakhs and reimbursement of Domiciliary expenses of Rs 4,000 in a financial year. The rates of premium vary as per the age of the insured persons.

15.10.9 **The status of Implementation of the 'Persons With Disability Act, 1985'**

In the last few years, as the manpower of the Company is being rationalized, there has been no scope of fresh recruitment, including that of physically challenged persons. In addition, the mining operations of the Company being rigorous in nature, the scope for engaging physically challenged persons is limited. The number of physically challenged persons employed in the Company as on 31.3.2008 was as follows:

Group	Number of physically challenged persons
A	2
B	-
C	37
D	12
Total	51

15.10.10 **Training**

Based on systematic identification of training needs, several development programmes on productivity, safety, cost control, communication skills and human relations were organized in-house. In the year



2007-08, against the target of 5,500 mandays, 13,545 mandays of training was imparted in the Company. All senior executives in AGM & above levels attended the customized management education programme at the Management Development Institute (MDI), Gurgaon.

16. STATUS OF MINING LEASES

- 16.1 Mining leases in respect of Khetri, Kolihan and Chandmari at KCC are valid up to 22.2.2013, 23.11.2016 and 16.12.2012, respectively.
- 16.2 Mining leases No.1 and No.2 of Malanjkhand are valid up to 27.8.2013. HCL's application for grant of two more leases (lease No.3 and No.4) is under process with the State Government of Madhya Pradesh.
- 16.3 Mining lease in respect of Surda mine for an area of 388.68 hectares is valid up to 14.6.2014.
- 16.4 During the year the Company has applied for Mining Lease (M/L), Prospecting License (P/L) and Reconnaissance Permit (R/P) stated as under:
- The Kendadih M/L in Jharkhand for an area of 1,139.60 hectares – the dead rent with interest has been deposited with District Mining Officer, Jamshedpur, Government of Jharkhand. Penal compensatory afforestation cost along with cost towards regeneration of safety zone is to be paid to the State Government after verification from the Forest Department, required for release of mining lease.
 - The Rakha mining lease over an area of 785.091 hectares - as the State Government has not yet accepted the surrender proposal (submitted in 2002), withdrawal application has been submitted by the Company and the dead rent alongwith applicable interest has been deposited with District Mining Officer, Jamshedpur, Govt. of Jharkhand .
 - M/L application for Badia-Pathorgora over an area of 4,286.536 hectares in east Singhbhum district of Jharkhand has been submitted to the State Government on 11.08.2007.
 - P/L application has been submitted to the State Government of Rajasthan during the year for Baniwali ki Dhani over an area of 17.50 sq. km and P/L and M/L for Dhani-Basri.
 - P/L application for Golwa Gangutana in district Mahendragarh, Haryana for an area of 200 hectares has been submitted to the State Government on 30.06.2007.
 - Reconnaissance permit (R/P) application for an area of 2,089 sq. km in the district of Jhajjar, Bhiwani and Mahendragarh, Haryana has been submitted on 04.02.2008.
 - P/L application for Jatta in district Balaghat, Madhya Pradesh for an area of 60 sq. km. has been submitted to the State Government on 19.06.2007.
 - Reconnaissance permit (R/P) application for an area of 1,600 sq. km in the district of Balaghat, Madhya Pradesh has been submitted on 16.05.2008.

17. CORPORATE GOVERNANCE

A report on Corporate Governance as per SEBI directives and stock exchange listing requirements is given at Annexure-I forming part of this report together with statutory auditors' certificate on corporate governance.

18. CORPORATE SOCIAL RESPONSIBILITY (CSR)

The objective of the Company is to play a catalytic role in the socio-economic development in the regions, where the plants and facilities of the Company are located, aiming to create an enabling working



environment as well as income generation opportunities for the community. The Company believes in community participation as an integral part of implementation strategy. For systematically taking up CSR activities, the Board has agreed to a scheme of allocating 0.5% of annual net profit of the preceding financial year towards CSR projects/schemes on a continuing basis.

A comprehensive socio-economic survey was undertaken to assess the situation in the communities located around Khetri Copper Complex (KCC), Malanjkhand Copper Project (MCP) and Indian Copper Complex (ICC) to identify and prioritize interventions and targets. To start with, five villages from each of the three units have been identified for initiating CSR activities in health, general hygiene, sanitation, formation of self-help groups and vocational training. Awareness building exercises have already been initiated since April 2008 in partnership with local NGOs.

The Rajasthan villages like Kharkhara, Banwas and Jasrapur are from nearby areas of KCC, while Mainpura and Chaowra are from Chaowra (near KCC's water-resourcing unit). Vimjori, Chinditolla, Borkhera, Suji and Pundrapauni have been identified for MCP, in Madhya Pradesh. For ICC in Jharkhand, villages like Kitadih, Bhadudih, Tumaugri, Dhobni and Gohandih have been selected for social intervention.

The initial entry-point activities have started. This will be followed up by comprehensive long-term CSR plans for building empowered communities for overall sustainable growth.

19. **DIRECTORS' RESPONSIBILITY STATEMENT**

- i. Your Directors confirm that in the preparation of the annual accounts for the year ended 31st March, 2008, the applicable accounting standards had been followed along with proper explanations relating to material departures/variations.
- ii. Such accounting policies have been selected and applied which are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of 31st March, 2008 and of the Profit or Loss of the Company for the year.
- iii. Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- iv. The Directors have prepared the annual accounts on a going concern basis.

20. **BOARD OF DIRECTORS**

Six part-time non-official directors, viz. S/Shri Arun Kumar Mago, Sakti Kumar Banerjee, Mani Krishna Murthy, Michael Bastian, Mukesh Khare and Shantikam Hazarika have joined the Board of Directors of the Company in pursuance of their appointment vide Ministry of Mines, Government of India's letter No.10(1)/2002-Met.III dated 7th January, 2008.

21. **AUDITORS**

M/s. K B Chandna & Company, New Delhi and M/s. Ray & Company, Kolkata were appointed as joint statutory auditors to audit the accounts of the Company for the year 2007-2008.

M/s. H Tara & Company, New Delhi and M/s. Sekhar Ranjan Guha, Kolkata were appointed as Cost Auditors of the Company to audit cost accounts relating to manufacture of sulphuric acid at KCC and ICC, respectively, for 2007-2008.



Auditors' remuneration

In accordance with Section 224 of the Companies Act, 1956, the remuneration of auditors to be appointed under Section 619 by the Comptroller and Auditor General of India, is required to be fixed by the Company in a general meeting or, in such manner, as the Company in general meeting may determine. Accordingly, an ordinary resolution under the ordinary business has been recommended by the Board for fixing the remuneration of the statutory auditors for 2008-09 to be appointed by the Central Government on the recommendations of the Comptroller and Auditor General of India for consideration by the shareholders.

22. COMMENTS OF C&AG AND STATUTORY AUDITORS & MANAGEMENT REPLIES THEREON

The comments of C&AG under Section 619(4) of the Companies Act, 1956 on the accounts of the Company for the year ended 31.3.2008 along with the review of accounts of your Company by C&AG and statutory auditors' observations along with management replies thereto are annexed to this report.

23. PARTICULARS OF EMPLOYEES IN TERMS OF SECTION 217(2A) OF THE COMPANIES ACT, 1956

There was no employee of the Company who received remuneration in excess of the limits prescribed under Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975.

24. APPRECIATION

In conclusion, your Directors wish to place on record their appreciation of the hard work put in by all the employees of the Company during the year under review. The Board gratefully acknowledge the valuable guidance and co-operation received from the Ministry of Mines and other Ministries/ Departments of the Government of India and the support received from the State Governments of Rajasthan, Jharkhand, Madhya Pradesh, Maharashtra and West Bengal and the Company's bankers, auditors, C&AG, customers and the office bearers of the recognized trade unions of different units/head office. The Board also thanks all the shareholders and investors for the trust reposed by them in the Company.

For and on behalf of the Board of Directors

Satish C Gupta
Chairman-cum-Managing Director

Place : Kolkata
Date : 27.06.2008

ANNEXURE-I TO THE DIRECTORS' REPORT

REPORT ON CORPORATE GOVERNANCE

As per Clause 49 of the Listing Agreement, a report on compliance of the provisions of Corporate Governance is given below.

Philosophy of Company on Corporate Governance

The philosophy of the Company in relation to corporate governance is to ensure transparency, disclosures and reporting that conforms fully with the laws and regulations of the country in order to promote ethical conduct and practices throughout the organization for enhancing stakeholder value.

MANDATORY REQUIREMENTS

1. **Board of Directors**

(a) **Board composition :**

The Board of Directors of the Company, as on the date of this report, comprises the Chairman-cum-Managing Director, three functional directors, viz., Director(Finance), Director(Personnel), Director (Operations), two Govt. directors (part-time official) representing the Ministry of Mines, Government of India and six independent directors (part-time non-official). A new post of Director(Mining) has been created in terms of financial restructuring proposal of the Company approved by the Government in July '07. Selection process for the newly created post has been initiated.

The details of the members of the Board are given below :

Name of the director	Category of director	No. of other Directorship	No. of Committee position held in other companies	
			Chairman	Member
Executive				
Shri Satish C Gupta, CMD	Chairman	-	-	-
Shri M Samajpati, D(F)	Functional	-	-	-
Shri D Satapathy, D(P)	Functional	-	-	-
Shri K D Diwan, D(OP)	Functional	-	-	-
Non-executive(Govt. director)				
Smt. Ajita Bajpai Pande	Part-time Official	3	1	-
Shri Sanjiv Kumar Mittal	Part-time Official	8	1	-
Non-executive(Independent director)				
Shri Arun Kumar Mago (w.e.f. 7.1.08)	Part-time non-official	3	1	1
Shri S K Banerjee -do-	Part-time non-official	4	1	1
Shri M K Murthy -do-	Part-time non-official	2	1	-
Shri Michael Bastian -do-	Part-time non-official	5	-	3
Shri Mukesh Khare -do-	Part-time non-official	-	-	-
Shri Shantikam Hazarika -do-	Part-time non-official	3	-	1

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

(b) **Directors' attendance**

The attendance of directors at Board meetings during 2007-2008 and last annual general meeting is given below :

Name of directors	No of Board meeting(s) attended out of 8 held	Attendance at the last annual general meeting
Shri Satish C Gupta	8	Yes
Shri M Samajpati	8	Yes
Shri D Satapathy	8	Yes
Shri K D Diwan	4	Yes
Smt. Ajita Bajpai Pande	6	-
Shri Sanjiv Kumar Mittal	7	-
Shri Arun Kumar Mago	-	-
Shri S K Banerjee	2	-
Shri M K Murthy	2	-
Shri Michael Bastian	2	-
Shri Mukesh Khare	2	-
Shri Shantikam Hazarika	1	-

During 2007-2008, eight Board meetings were held on 18.4.2007, 8.5.2007, 28.6.2007, 11.9.2007, 30.10.2007, 11.12.2007, 30.1.2008 and 14.3.2008 and the majority of members of the Board remained present. Leave of absence was, however, granted to the directors who could not attend the meeting.

(c) **Board procedure :**

Board meetings are held at least once every quarter, and more often if considered necessary, focusing on strategy formulation, policy and control, delegation of powers, reviewing performance of the Company, approving contracts of high value items, quarterly results, annual accounts, annual operating plan and budgets and for considering statutorily required matters. The agenda for the meetings is prepared by the Company Secretary in consultation with CMD/Functional directors and the Board papers are circulated to the directors in advance. The members of the Board have access to all information and are free to recommend inclusion of any matter in the agenda for discussion. As and when required, senior executives of the Company are also invited to attend Board meetings and provide clarifications. The part-time directors play an important role in deliberations at the Board meetings and bring to the Company their wide experience in the fields of finance, marketing, public policy and operations.

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

(d) **Remuneration to whole-time directors :**

The details of remuneration paid to the whole-time Directors during 2007-2008 was as follows :

Directors' Remuneration	(Rs in lakhs)
Salaries and Allowance	22.80
Contribution to Provident Fund	2.66
Medical reimbursement	0.80
Leave encashment	-
Gratuity	-
Total	26.26

(e) **Sitting fees to independent directors :**

Independent directors are not paid any remuneration except sitting fees at the rate of Rs 5,000/- for attending each meeting of the Board or its committee. During 2007-08, the amount of sitting fees paid to independent directors was as follows :

Sl No	Name of the director	Sitting fees paid
1	Shri Arun Kumar Mago	-
2	Shri Sakti Kumar Banerjee	Rs 15,000
3	Shri Mani Krishna Murthy	Rs 10,000
4	Shri Michael Bastian	Rs 15,000
5	Dr. Mukesh Khare	Rs 10,000
6	Shri Shantikam Hazarika	Rs 5,000

(f) **Code of Conduct for directors and senior executives :**

In terms of Clause 49 of the Listing Agreement, the Company has formulated "Code of Conduct for Directors and Senior Executives" for better corporate governance and fair and transparent practices. A copy of the same has been circulated to all concerned and also posted at the Company's website www.hindustancopper.com. The Board members and senior management personnel to whom the said Code is applicable have affirmed compliance of the same for the year ended 31st March, 2008.

2. **Audit Committee :**

Consequent upon appointment of independent directors, the Audit Committee of the Board has been reconstituted as per the requirement of Clause 49 of listing agreement and Section 292A of the Companies Act, 1956 comprising one Government director and two independent directors. The chairman of the committee is an independent director. During 2007-08, four meetings of the Audit Committee were held on 28.6.2007, 30.10.2007, 11.12.2007 and 14.3.2008 and mostly the members were present. The terms of reference of the Audit Committee are as specified under Clause 49 of the listing agreement.

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

During 2007-08, the attendance of members at the meetings is given below :

Composition	Number of meetings attended out of 4 held
Shri Michael Bastian, Chairman	1
Smt Ajita Bajpai Pande, ex-Chairman*	2
Shri Sanjiv Kumar Mittal, Member	4
Shri S K Banerjee, Member	1
Shri D Satapathy, Member*	3

(* Ceased to be members of the committee)

3. Remuneration Committee :

Being a Government Company, the remuneration, terms and conditions of appointment of directors is fixed by the Government of India. As such, no Remuneration Committee has been constituted by the Company.

4. Investors' Grievance Committee :

A sub-Committee of the Board known as Shareholders/Investors' Grievance Committee has been constituted by the Board to look into the redressal of complaints received from investors/shareholders. The Committee comprises two Govt. directors representing the Ministry of Mines and Director(Finance) as its members. There was no outstanding complaint as on 31st March, 2008.

5. Share Transfer Committee :

A Sub-Committee of the Board comprising of Chairman and functional directors of the Company known as Share/Bonds Transfer Committee is already in existence. During 2007-2008, the Committee met 10(ten) times on 3.5.2007, 4.6.2007, 17.7.2007, 23.8.2007, 24.9.2007, 5.11.2007, 4.12.2007, 3.1.2008, 29.1.2008 and 10.3.2008 and approved transfer/transmission of shares. Company Secretary has been nominated as Compliance Officer as per listing agreement requirement.

6. General Body Meeting :

Location and time of general body meetings held during the last 3 financial years were as under:

Year	Annual General Meeting			Extraordinary General Meeting		
	Date	Location	Time	Date	Location	Time
2005-06	30 09 2005	Kolkata	4.00 pm	-	-	-
2006-07	25 09 2006	Kolkata	3.30 pm	-	-	-
2007-08	24 12 2007	Kolkata	3.30 pm	16 08 2007	Kolkata	3.30 pm

No resolution was passed last year through postal ballot. In the ensuing 41st AGM also the Company has not proposed any resolution for approval of shareholders through postal ballot since none of the business items proposed requires approval through postal ballot as per provisions of the Companies Act, 1956 and rules framed thereunder.

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

7. Disclosures :

During 2007-2008, the Company has not entered into any transactions of material nature with the directors that may have potential conflict with the interest of the Company at large. No penalties, strictures have been imposed on the Company by the Stock Exchanges or SEBI on any matters related to capital market.

The members of the Board apart from receiving director's remuneration do not have any material pecuniary relationship or transactions with the Company, its promoters which in the judgement of Board may affect independence of judgement of the directors.

8. Means of communication :

The Company publishes its quarterly/annual results in prominent English and vernacular newspapers for information of all concerned as per requirement. Annual Report/Quarterly results are also hosted on the website of the Company at www.hindustancopper.com. During the year no presentation was made to any institutional investor or to any analyst.

9. General shareholders' information :

i) 41st Annual General meeting

Date : 28.08.2008

Time : 3.30 p.m.

Venue : Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata-700019

ii) Financial Year 2008-2009

Results for quarter ending

30th June, 2008 : 4th week of July, 2008

30th September, 2008 : 4th week of October, 2008

31st December, 2008 : 4th week of January, 2009

31st March, 2009 : 4th week of April, 2009

iii) Book-closure date : 26.08.2008 to 28.08.2008 (both days inclusive)

iv) Dividend payment date : No dividend has been recommended for payment by the Board.

v) Listing of equity shares on Stock Exchanges along with stock code :

Kolkata	-	18067
Mumbai	-	513599
Delhi	-	6917
Chennai	-	HINDCOPPER
Ahmedabad	-	24709/HINDUSTACO.

Annual Listing Fee for 2008-09 has been paid to all the above Stock Exchanges.

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

vi) **Stock market price data :**

Monthly high and low quotations of shares traded on the Bombay Stock Exchange Limited (BSE) during the financial year 2007-08 was as follows :

Month	B S E	
	High (Rs.)	Low (Rs.)
April 2007	103.00	80.10
May 2007	98.00	85.05
June 2007	96.00	84.55
July 2007	125.45	88.90
August 2007	162.25	96.30
September 2007	170.45	126.00
October 2007	359.20	165.00
November 2007	644.75	359.20
December 2007	542.20	394.60
January 2008	623.80	312.10
February 2008	379.80	270.75
March 2008	315.00	179.15

vii) **Registrar & Share Transfer Agent :**

The Company has appointed M/s. MCS Ltd., 77/2A, Hazra Road, Kolkata 700 029 as its Registrar & Share Transfer Agent to take care of all share related matters.

viii) **Share transfer system :**

Share transfer requests received by the Company are processed and certificates despatched to the buyers within 30 days from the date of receipt as stipulated in listing norms of Stock Exchanges.

ix) **Shareholding pattern as on 31st March 2008 :**

	Category	No. of shares held	%
1	President of India	76,44,19,500	99.51
2	Mutual Funds	100	00.00
3	Financial Institutions	8,31,880	00.11
4	Private Corporate Bodies	4,89,042	0.06
5	Indian Public including employees	24,11,745	0.31
6	NRIs/OCBs	65,733	0.01
	TOTAL	76,82,18,000	100.00

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

x) **Distribution of shareholding as on 31st March 2008 :**

RANGE		SHARES	FOLIOS	% SHARES
1	500	1262558	7645	0.1643
501	1000	386965	475	0.0504
1001	2000	296155	188	0.0386
2001	3000	136418	54	0.0178
3001	4000	154598	42	0.0201
4001	5000	129950	28	0.0169
5001	10000	232623	32	0.0303
10001	50000	317073	17	0.0413
50001	100000	51000	1	0.0066
100001 and above		765250660	4	99.6137
TOTAL :		768218000	8486	100.0000

xi) **Dematerialisation of shares :**

The Company's shares are tradable compulsorily in electronic form and are available for trading in the depository systems of both National Securities Depository Ltd. (NSDL) and Central Depository Services (India) Ltd.(CDSL). The International Securities Identification Number (ISIN) allotted to the Company's equity shares is INE531E01018 w.e.f 11.9.02. Status of dematerialisation as on 31.3.08 was as follows :

Particulars	No. of Shares	% of Holding	No. of folio
DEMAT :			
a) N S D L	26,27,733	0.34	4493
b) C D S L	10,01,921	0.13	3045
PHYSICAL :			
a) Govt. of India	76,44,19,500	99.51	8
b) Others	1,68,806	0.02	940
TOTAL :	76,82,18,000	100.000	8486

xii) **Outstanding GDRs/ADRs/Warrants or any convertible instruments, conversion date and likely impact on equity :**

The Company has neither issued any GDR/ADR nor any convertible instrument as on date.

xiii) **Plant location :**

Indian Copper Complex

P.O.Ghatsila
Dist.Singhbhum
Jharkhand

Malanjkhand Copper Project

P.O.Malanjkhand
Dist.Balaghat
Madhya Pradesh

Khetri Copper Complex

P.O.Khetrinagar
Dist.Jhunjhunu
Rajasthan

Taloja Copper Project

P.O.Taloja
Dist.Raigad
Maharashtra

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

xiv) **Address for correspondence :**

Shareholders desiring any information may write to the Company Secretary, HCL corporate office at 1 Ashutosh Chowdhury Avenue, Kolkata - 700019 or e-mail their query to hcl_ho@hindustancopper.com

NON-MANDATORY REQUIREMENTS

- (A) The whole-time directors of the Company including the Chairman-cum-Managing Director are appointed by the Government of India and are paid remuneration as per terms of their appointment. The Company, therefore, has not constituted any Remuneration Committee to decide the policy for Directors' remuneration.
- (B) The Chairman of the Board is a whole-time director of the Company. He has been provided only those facilities which are permissible under the terms and conditions of his appointment by the Govt. of India.
- (C) The quarterly declaration of financial performance is made known to the shareholders through press advertisement.
- (D) Training of executives is done as per Company policy.
- (E) Regarding 'whistle blower' mechanism, the guidelines issued by the Ministry of Personnel, Public Grievances and Pensions, Government of India have been implemented.

ANNEXURE-I TO THE DIRECTORS' REPORT (Contd.)

COMPLIANCE CERTIFICATE ON CORPORATE GOVERNANCE

To the members of
Hindustan Copper Limited
Kolkata

We have examined the compliance of conditions of corporate governance by Hindustan Copper Limited, for the year ended on 31.03.2008, as stipulated in clause 49 of the Listing Agreement of the said company with stock exchange(s).

The compliance of conditions of corporate governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the company for ensuring the compliance of the conditions of the corporate governance. It is neither an audit nor an expression of opinion of the financial statements of the company.

In our opinion and to the best of our information and according to the explanations given to us, we, hereby, certify the company has complied with the conditions of corporate governance as stipulated in the above mentioned Listing Agreement, except the following —

- i) The Board of Directors of the Company did not have optimum combination of executive and non-executive directors with not less than 50% of the Board of Directors comprising non-executive directors upto 6th January, 2008;
- ii) The Audit Committee as formed under the provisions of Section 292A of the Companies Act, 1956 did not have two-thirds of its members as independent directors upto 6th January, 2008;
- iii) There was a gap of more than 4 months from the previous meetings in respect of 2 Audit Committee meetings held on 26-06-07 and 30-10-07 respectively;
- iv) The Chairperson of Audit Committee was not present during Annual General Meeting held on 24-12-07.

We further state that such compliance is neither an assurance as to the future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

For and on behalf of

K B Chandna & Co.
Chartered Accountants

Ray & Co.
Chartered Accountants

Sanjeev Chandna
M No. 87354
Partner

Subrata Roy
M No. 51205
Partner

Place : Kolkata
Date : 27.06.2008

ADDENDUM TO THE REPORT OF THE BOARD OF DIRECTORS

Clarification of the Management in respect of important observations of Statutory Auditors (Ref. Statutory Auditors' Report 27th June 2008)

Audit Observation No.	Observations	Clarification of the Management
5 (ii)	Physical verification of Stores & Spares at Mosabani Stores (ICC) has been carried out by the management during the year but the job was not completed till the completion of audit.	Physical verification of Stores & Spares have been duly conducted at Mosabani Stores (ICC) and reconciliation is in process. Necessary adjustment, if any, will be carried out in the books of accounts in F.Y. 2008-09.

Place : Kolkata
Dated : 21st July, 2008

Satish C Gupta
Chairman-cum-Managing Director

TEN YEARS AT A GLANCE

(Rs in crore)										
YEAR	2007-08	2006-07	2005-06	2004-05	2003-04	2002-03	2001-02	1999-01	1998-99	1997-98
								(18 months)	(18 months)	
FOR THE YEAR										
Turnover	1839.79	1799.64	1053.76	559.11	518.87	505.68	604.98	945.58	479.49	1203.48
Gross Profit/(Loss)	330.51	366.68	138.75	95.05	3.46	(88.13)	(116.61)	(80.32)	(121.33)	(197.72)
Depreciation and Amortisation	81.89	89.45	58.37	55.75	59.05	57.71	58.12	90.19	59.25	88.48
Net Profit/(Loss)	246.46	313.94	105.88	55.98	(56.16)	(147.70)	(184.04)	(196.44)	(172.01)	(105.73)
Value Added	726.12	781.08	385.39	328.53	212.30	147.37	153.09	335.91	167.24	289.46
Value of production	1993.48	1909.18	1053.34	631.24	534.43	501.53	586.66	1001.66	513.47	1180.22
AT THE YEAR END										
Share Capital	462.61	977.45	948.95	948.95	908.95	795.11	710.11	543.61	536.61	525.11
Internal Resources	1015.88	195.60	(110.57)	(298.85)	(350.30)	(310.39)	(169.45)	(0.49)	190.97	338.96
Term Loans	112.50	212.50	287.50	232.96	299.12	316.32	326.84	681.05	372.36	115.27
Cash credit from banks	0.98	3.98	4.81	118.23	76.11	139.49	122.04	122.70	84.16	119.60
Capital expenditure gross	1037.06	993.99	977.89	967.71	995.10	1007.10	1024.77	1060.76	1066.21	1066.33
Working Capital	492.06	328.62	62.78	33.94	(1.02)	(25.95)	7.51	25.95	6.49	86.35
Capital employed	657.48	504.62	247.47	234.55	215.28	203.89	249.29	291.03	298.71	403.68
Manpower (No.)	5405	5451	5583	5665	5995	7865	9502	12043	15271	18234

AUDITORS' REPORT to the Members of Hindustan Copper Limited

1. We have audited the attached Balance Sheet of M/s. Hindustan Copper Limited as at 31st March 2008, the Profit & Loss Account and the Cash Flow Statement of the company for the year ended on that date annexed hereto. These financial statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. The audit has been conducted in accordance with generally accepted auditing standards applicable in India which requires the planning and performance of such audit which inter-alia includes examination on a test basis of evidences supporting the amounts and disclosures in the financial statements including assessing the accounting principles used and significant estimates adopted by the management as well as evaluation of the overall financial statement presentation to obtain reasonable assurance as to whether the financial statements are free of any material misstatements. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditors' Report) Order, 2003 (as amended), issued by the Central Government under Section 227(4A) of the Companies Act, 1956 and on the basis of such checks of the books and records of the Company as we considered appropriate we enclose in the Annexure hereto a statement on the matters specified in paragraphs 4 & 5 of the said order.
4. Further to our comments in the Annexure referred to in Paragraph 3 here-in-above we report that :
 - (a) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the company so far as it appears from our examination of such books.
 - (c) The Balance Sheet, Profit & Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of accounts.
 - (d) In our opinion, the Balance Sheet, Profit & Loss Account and Cash Flow Statement, subject to what is stated herein below in paragraph 5, dealt with by this report comply with the Accounting Standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956.
 - (e) Section 274(1)(g) of the Companies Act, 1956, requiring disclosure of disqualification of directors is not applicable to Government Companies vide notification no GSR 829(E) dated 21.10.03 issued by Department of Corporate Affairs.
5.
 - (i) The financial statements have been drawn up on the basis of in-house estimates referred to in paragraph 2 of Accounting Policies, being a technical matter; we have relied upon the same.
 - (ii) Physical verification of stores and spares at Mosabani Stores (ICC) is being carried out by the management during the year under review (the job was not completed till completion of audit). Pending final adjustment of discrepancies, the impact of the same on 'consumption' of stores and spares as well as 'closing stock' remains unascertained.
 - (iii) The additional provision for gratuity and leave encashment on the revised pay structure for the employees as compared to previous year have not been allocated to Mines Development Expenditure resulting in understatement of Profit for the year. For want of unit-wise details, the quantification, however, could not be done.
 - (iv) The balances under the heads Sundry Creditors, Sundry Debtors, Loans, Advances and Claims Recoverable are subject to confirmations and consequential adjustments thereof. (Ref. Note No. 6 of Schedule No. 24 of Notes on Accounts).

AUDITORS' REPORT to the Members of Hindustan Copper Limited (Contd.)

6. The effect of the various qualifications given above on the profit as well as assets and liabilities of the company could not be ascertained for want of details.

In our opinion and to the best of our information and according to the explanations given to us, the said financial statements, read with the notes thereon, give in the prescribed manner the information required by the Companies Act, 1956, and **subject to the matter referred to in paragraph 5 above**, give a true and fair view in conformity with the accounting principles generally accepted in India :

- (i) in the case of the Balance Sheet, of the state of affairs of the company as at 31st March, 2008 ;
- (ii) in the case of the Profit & Loss Account, of the profit of the company for the year ended on that date and
- (iii) in the case of the Cash Flow Statement, of the cash flows of the company for the year ended on that date.

For K B CHANDNA & CO.
Chartered Accountants

SANJEEV CHANDNA
Partner
(M.No. 87354)

For RAY & CO.
Chartered Accountants

SUBRATA ROY
Partner
(M.No. 51205)

Place : Kolkata
Dated : 27th June, 2008

ANNEXURE TO THE AUDITORS' REPORT

(Referred to in paragraph 3 of our report of even date)

1.
 - (a) The company has in general maintained proper records showing full particulars including quantitative details and location of fixed assets.
 - (b) The fixed assets have not been physically verified during the current year pursuant to Accounting Policy No.3.5. Pending reconciliation of discrepancies wherever noticed which are not of material nature, adequate provision against the shortage have been made.
 - (c) During the year, the company has not disposed off any fixed assets of substantial nature which would affect the going concern status of the company.
2.
 - (a) Physical verification of the inventory has been carried out during the year by outside agencies excepting stores & spares at Mosabani Stores (ICC) which has been conducted by the management remains incomplete till completion of audit. In our opinion frequency of verification is reasonable.
 - (b) In our opinion and according to the information and explanations made available to us the procedure of physical verification of stocks followed are reasonable and adequate in relation to the size of the company and the nature of its business.
 - (c) On the basis of our examination of the inventory records, in our opinion, the company has maintained proper records of inventory. The discrepancies noticed on physical verification of inventory as compared to book records have been properly dealt with in the books of account except Mosabani Stores (ICC) whose job of physical verification is under process. In case of ICC and RCP units adequate provision has been made against the discrepancies detected in earlier years but the asset continues to be shown in the stock.
3. The company has neither granted nor taken any loans to/from companies, firms or other parties listed in the register maintained under Sec. 301 of the Companies Act, 1956. In view of the same the question of the terms and conditions including rates of interest being prima facie prejudicial to the interest of the company does not arise.
4. In our opinion and according to the explanations given to us, there is an adequate internal control system with regard to purchases of inventory, fixed assets including high value contracts, transportation contracts and sale of services commensurate with the size of the company. Further, on the explanations given to us, we have neither come across nor have informed of any continuing failure to correct major weakness in the aforesaid internal control system. However the internal control regarding sale of goods etc needs to be strengthened.
5.
 - (a) According to the information and explanations given to us, there is no transaction which needs to be entered into the register maintained under Section 301 of the Companies Act, 1956.
 - (b) In our opinion and according to the information and explanations given to us, the company has not entered into any contracts or arrangements exceeding Rs 5.00 lakh in value in respect of any party in pursuance of contracts or arrangements entered in the register to be maintained under Section 301 of the Companies Act, 1956.
6. In our opinion and according to the information and explanations made available to us by the management, the company has not accepted any deposit from public within the meaning of Section 58A of the Companies Act, 1956 and the rules framed there under.

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

7. In our opinion the company has an Internal Audit system commensurate with size and nature of its business. However, the Scope of Internal Audit needs to be reviewed and extended further to cover various aspects of internal control and propriety.
8. We have broadly reviewed the cost records maintained by the company except at TCP for the items prescribed by the Central Government under clause (d) of sub-section (1) of Section 209 of the Companies Act, 1956 and are of the opinion that prima facie, the prescribed records and accounts have been maintained. However, we have not made a detailed examination of such accounts and records.
9. (a) The Company has generally been regular in depositing Provident Fund dues during the year with appropriate authorities.

According to the information and explanations given to us, undisputed amounts payable in respect of Sales Tax, Entry Tax, Excise Duty, Royalty, Forest land, Electricity Duty and Water Cess outstanding for more than six months from the date they became payable were in aggregate of Rs 74783 thousand as at 31st March 2008. (As given in annexure attached).

(b) According to the information and explanations given to us, dues of Sales Tax, Excise Duty, Customs Duty, Electricity duty, Royalty, Entry Tax, Property Tax amounting to Rs 1754037 thousand net of deposits made have not been deposited on account of disputes pending at various forum. (As given in annexure attached)
10. The accumulated loss has been fully adjusted by way of financial restructuring as referred in Note no.2 on Schedule 24 of Notes on Accounts. Hence there are no accumulated losses of the company as at the end of the financial year. The company has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.
11. In our opinion and according to the information and explanations given to us, the company has not defaulted in repayment of dues to Banks, Financial Institutions and repayment of debentures.
12. According to the information and explanations given to us, the company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
13. In our opinion, the provision of any special statute applicable to chit fund / nidhi/ mutual benefit fund/ societies are applicable to the company.
14. In our opinion, the company is not dealing in or trading in shares, securities, debentures and other investments.
15. According to the information and explanations given to us, the company has not given guarantees for loans taken by others from Banks or Financial Institutions.
16. In our opinion and according to the information and explanations given to us, the term loan was applied for the purpose for which the same was obtained.
17. According to the information and explanations given to us and on an overall examination of the Balance Sheet of the company, we are of the opinion that there are no funds raised on short-term basis that have been used for long-term investment.
18. According to the information and explanations given to us, the company has not made preferential

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

allotment of shares to parties and companies covered in the Register maintained under Section 301 of the Companies Act, 1956.

19. According to the information and explanations given to us, the company has not issued any debentures during the year. The debentures outstanding at the beginning of the year has been fully redeemed.
20. The company has not raised any fund by way of public issue during the year.
21. During the course of our examination of the books and records of the company, carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, we have neither come across any instance of fraud on or by the company, noticed or reported during the year nor have we been informed of such by the management.

For K B CHANDNA & CO.
Chartered Accountants

SANJEEV CHANDNA
Partner
(M.No. 87354)

For RAY & CO.
Chartered Accountants

SUBRATA ROY
Partner
(M.No. 51205)

Place : Kolkata
Dated : 27th June, 2008

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

UNDISPUTED LIABILITIES FOR MORE THAN SIX MONTHS

(Rs. '000)

PARTICULARS	AMOUNT
SALES TAX / ENTRY TAX	5409
ROYALTY	2572
FOREST LAND	2124
ELECTRICITY DUTY	14689
EXCISE DUTY	616
WATER CESS	49373
TOTAL	74783

STATEMENT OF DISPUTED STATUTORY LIABILITIES

(Rs. '000)

SL. NO.	PARTICULARS	YEAR	FORUM AT WHICH MATTER IS PENDING	AMOUNT
1.	EXCISE DUTY	2006-07	JOINT COMMISSIONER	3466
		2006-07	ADDL COMMISSIONER	5117
		1993-94	COMMISSIONER (APPEAL)	2432
		1994-95	ASST COMMISSIONER	160
		1998-99	ASST COMMISSIONER	8064
		2002-03	ADDL COMMISSIONER OF EXCISE	3002
		2000-01	DY COMMISSIONER	3540
		1999-00	ASST COMMISSIONER	1097
		2003-04	JOINT COMMISSIONER	1796
		2002-03	ASST COMMISSIONER	4156
		2003-04	COMMISSIONER (APPEAL)	477
		2005-06	ADDL COMMISSIONER	7913
		2006-07	ASST COMMISSIONER	1298
		1993-94	SUPERINTENDENT	8497
		2002-03	COMMISSIONER (APPEAL)	377
		2007-08	ASST COMMISSIONER	358
		2007-08	COMMISSIONER (APPEAL)	2438
		2004-05	ASST COMMISSIONER	315
		2006-07	COMMISSIONER (APPEAL)	6663
		2006-07	ASST COMMISSIONER	409
		2005-06	JOINT COMMISSIONER	847
		2002-03	CESTAT	6950

ANNEXURE TO THE AUDITORS' REPORT (Contd.)

STATEMENT OF DISPUTED STATUTORY LIABILITIES (Contd.)

(Rs. '000)

SL. NO.	PARTICULARS	YEAR	FORUM AT WHICH MATTER IS PENDING	AMOUNT
		FROM 1998-99 TO 2003-04	CESTAT	747346
2.	PROPERTY TAX	FROM 1994-95 TO 1997-98	HIGH COURT, JABALPUR	10345
		2007-08	HIGH COURT, RAJASTHAN	48059
3.	SALES TAX	1991-92	TRIBUNAL / MAHARASHTRA	734
		1994-95	TRIBUNAL / MAHARASHTRA	1781
		1994-95	APPELLATE AUTHORITY / JABALPUR	538
		1994-95	DY.COMMISSIONER (APPEALS) / BIKANER	672
		1995-96	DY.COMMISSIONER (APPEALS) / BIKANER	180
		1996-97	DY.COMMISSIONER (APPEALS) / BIKANER	2243
		1997-98	DY.COMMISSIONER (APPEALS) / BIKANER	2039
		2000-01	DY.COMMISSIONER / BIKANER	95
		2001-02	DY.COMMISSIONER / BIKANER	895
		2002-03	DY.COMMISSIONER / BIKANER	225
		2002-03	DY.COMMISSIONER (APPEALS) / BIKANER	1395
		2002-03	CTO/BIKANER	8500
		2006-07	DY.COMMISSIONER / BIKANER	367
		2007-08	DY.COMMISSIONER / BIKANER	7
		FROM 1991-92 TO 1993-94	TRBUNAL / JHARKHAND	4370
		FROM 1998-99 TO 2000-01	DY.COMMISSIONER / JHARKHAND	11034
4.	MUNICIPALITY TAX	FROM 2000-01 TO 2005-06	HIGH COURT, JABALPUR	748705
		2005-06	HIGH COURT, JABALPUR	3664
		2005-06	SUPREME COURT	6933
5.	CUSTOMS DUTY	2007-08	COMMISSIONER OF CUSTOMS (APPEALS)	84538
	TOTAL			1754037

BALANCE SHEET

As at March 31, 2008

			(Rs. '000)	
	Schedule No.		As at 31.03.2008	As at 31.03.2007
SOURCES OF FUNDS				
Shareholders' Funds				
Share Capital	1	3,841,090		9,489,504
Share Money Awaiting Allotment		785,000		285,000
Reserves & Surplus	2	5,155,964		1,141,682
			9,782,054	10,916,186
Loan Funds				
Secured Loans	3	1,134,834		1,664,791
Unsecured Loans	4	-		536,304
		1,134,834		2,201,095
T O T A L			10,916,888	13,117,281
APPLICATION OF FUNDS				
Fixed Assets				
Gross Block	5	6,657,041		6,672,991
Less : Depreciation	5	5,002,868		4,913,033
Net Block	5	1,654,173		1,759,958
Discarded Fixed Assets (net of provision)	5	-		-
Capital Work-in-Progress including				
Advance for Capital Expenditure	6	282,292		103,155
Mine Development Expenditure	7	3,431,284		3,163,742
			5,367,749	5,026,855
Investments	8		17	17
Deferred Tax Assets (Net)			628,525	705,478
Current Assets, Loans and Advances				
Inventories	9	3,861,196		4,085,431
Sundry Debtors	10	501,406		444,443
Cash and Bank Balances	11	5,288,401		4,388,392
Other Current Assets	12	68,350		19,347
Loans and Advances	13	1,165,245		591,435
		10,884,598		9,529,048
Less : Current Liabilities and Provisions	14	5,964,001		6,242,855
Net Current Assets			4,920,597	3,286,193
Profit and Loss Account			-	4,098,738
T O T A L			10,916,888	13,117,281
Significant Accounting Policies	23			
Notes on Accounts	24			

The schedules referred to above form an integral part of the Balance Sheet.

For and on behalf of the Board of Directors

In terms of our report of even date attached.

For K.B.CHANDNA & CO.

Chartered Accountants

SANJEEV CHANDNA

(M No.87354)

Partner

Place : Kolkata

Dated : 27th June, 2008

For RAY & CO.

Chartered Accountants

SUBRATA ROY

(M No.51205)

Partner

C.S.Singhi

Company Secretary

Place : Kolkata

Dated : 27th June, 2008

M Samajpati

Director (Finance)

Satish C Gupta

Chairman-cum-

Managing Director

PROFIT & LOSS ACCOUNT

For the year ended March 31, 2008

	Schedule No.	2007-08	(Rs. '000) 2006-07
INCOME			
Gross Sales		18,397,910	17,996,369
Less : Excise Duty		2,458,153	2,417,779
Net Sales		15,939,757	15,578,590
Internal Issues		22,363	10,282
Other Income	15	1,084,811	359,316
Increase/(Decrease) in Stock of Finished Goods, Semi-Finished and In Process	16	429,718	725,881
		17,476,649	16,674,069
EXPENDITURE			
Materials, Spares & Components	17	6,944,820	6,335,228
Employees' Remuneration & Benefits	18	2,134,849	1,756,531
Other Expenses of Manufacturing, Administration, Selling & Distribution	19	3,726,858	3,473,042
Excise duty		4,616	45,134
Interest	20	280,105	348,526
Provisions, Losses & Write off	21	465,501	496,447
Depreciation		158,423	269,881
Amortisation of Mine Development Expenditure		660,493	624,660
		14,375,665	13,349,449
PROFIT FOR THE YEAR		3,100,984	3,324,620
Prior years' Net Debits/(Credits)	22	76,025	6,331
PROFIT BEFORE TAX		3,024,959	3,318,289
Provision for Tax - Current		480,000	210,700
- Deferred		76,953	(34,756)
- Fringe Benefit		3,400	2,900
PROFIT AFTER TAX		2,464,606	3,139,445
Transfer from Special Reserve		308	322
Transfer to Capital Reserve		-	(5,059)
Profit/(Loss) brought forward from last year's Accounts		(4,098,738)	(7,233,446)
Capital Reduction Accounts (Note 2 on Schedule 24)		4,098,738	-
Balance of Profit/(Loss) carried to Balance Sheet		2,464,914	(4,098,738)
Earning Per Share of Rs 5 each (P.Y. Rs 10 each) (Note 16 on Schedule 24)			
-Basic (Rs)		3.21	4.02
-Diluted (Rs)		2.76	3.83
Significant Accounting Policies	23		
Notes on Accounts	24		

The schedules referred to above form an integral part of the Profit & Loss Account.

For and on behalf of the Board of Directors

In terms of our report of even date attached.

For K.B.CHANDNA & CO.

Chartered Accountants

SANJEEV CHANDNA

(M No.87354)

Partner

Place : Kolkata

Dated : 27th June, 2008

For RAY & CO.

Chartered Accountants

SUBRATA ROY

(M No.51205)

Partner

C.S.Singhi

Company Secretary

M Samajpati

Director (Finance)

Satish C Gupta

Chairman-cum-

Managing Director

Place : Kolkata

Dated : 27th June, 2008

SCHEDULES FORMING PART OF THE BALANCE SHEET

		(Rs. '000)
	As at 31.03.2008	As at 31.03.2007
1. SHARE CAPITAL		
Authorised Capital (Note 2 on Schedule 24)		
180 00 00 000 Equity Shares of Rs 5/- each	9,000,000	9,000,000
(P.Y. 90 00 00 000 Equity Shares of Rs 10/- each)		
20 00 000 7.5 % Non-Cum Redeemable Preference Shares of Rs 1000/- each	<u>2,000,000</u>	<u>2,000,000</u>
(P.Y. 20 00 000 7.5 % Non-Cum Redeemable Preference Shares of Rs 1000/- each)		
Issued, Subscribed & Paid up (Note 2 on Schedule 24)		
75 04 73 700 Equity Shares of Rs 5/- each fully paid up in cash	3,752,369	7,504,737
(P.Y. 75 04 73 700 Equity Shares of Rs 10/- each fully paid up in cash)		
1 02 44 300 Equity Shares of Rs 5/- each issued pursuant to a contract without payment being received in cash	51,221	102,443
(P.Y. 1 02 44 300 Equity Shares of Rs 10/- each issued pursuant to a contract without payment being received in cash)		
75 00 000 Equity Shares of Rs 5/- each pursuant to Indian Copper Corporation (Acquisition of Undertaking) Act,1972 without payment being received in cash	37,500	75,000
(P.Y. 75 00 000 Equity Shares of Rs 10/- each pursuant to Indian Copper Corporation (Acquisition of Undertaking) Act,1972 without payment being received in cash)		
	<u>3,841,090</u>	<u>7,682,180</u>
18 07 324 7.5 % Non-Cum Redeemable Preference Shares of Rs 1000/- each	-	1,807,324
(P.Y. 18 07 324 7.5% Non-Cum Redeemable Preference Shares of Rs 1000/- each)		
	<u>3,841,090</u>	<u>9,489,504</u>
Equity Share Money Awaiting Allotment	<u>785,000</u>	<u>285,000</u>
2. RESERVES AND SURPLUS		
Capital Reserve :		
As per last Balance Sheet	566,948	561,889
Addition during the year (Note 2 on Schedule 24)	<u>1,549,676</u>	<u>5,059</u>
	2,116,624	566,948
Special Reserve :		
As per last Balance Sheet	2,393	2,715
Less : Transferred to Profit & Loss Account	<u>308</u>	<u>322</u>
	2,085	2,393
General Reserve :		
Transfer from Profit & Loss Account	2,464,914	-
Deferred Tax Asset :		
As per last Balance Sheet	572,341	801,815
Addition during the year	<u>-</u>	<u>(229,474)</u>
	<u>572,341</u>	<u>572,341</u>
	<u>5,155,964</u>	<u>1,141,682</u>

SCHEDULES FORMING PART OF THE BALANCE SHEET

	(Rs. '000)	
	As at 31.03.2008	As at 31.03.2007
3. SECURED LOANS		
i) Debentures		
10,000 14% Secured Redeemable Non-Convertible Debenture (Previous year Rs.12,500 each) (Note 1)	-	125,000
Secured by mortgage of flats at Mumbai and by first charge on whole of the assets movable and immovable at Khetri Copper Complex, Khetri, Malanjkhand Copper Project, Malanjkhand and Taloja Copper Project, Taloja, both present and future (save and except Book Debts and Other Current Assets) and counter guaranteed by GOI.		
ii) Cash Credit from Banks	9,834	39,791
Secured by hypothecation of Stock-in-Trade, Stores and Spare parts and Book Debts, both present and future of the Company. Further secured by second charge on the immovable assets of the Khetri, Malanjkhand and Taloja Projects.		
iii) 7.5% Corporate Term Loan from Bank	1,125,000	1,500,000
Secured by Guarantee issued by Govt of India (Note 2)		
	<u>1,134,834</u>	<u>1,664,791</u>

Amount falling due within next twelve months Rs. 1,125,000 thousand (Previous year Rs. 125,000 thousand)

Note 1 : 14.00 % Secured Redeemable Non-Convertible Debentures are redeemable in 16 equal quarterly instalments @ Rs. 62,500 thousand commencing from December 15,2003 and ending on September 15, 2007. The company had redeemed the balance amount of Rs 125,000 thousand during the year.

Note 2 : 7.50% Corporate Term Loan of Rs 1,500,000 thousand is redeemable in 16 equal quarterly instalments starting from June 2007 quarter and ending in March 2011 quarter. The company had repaid the balance amount of entire term loan during first quarter of F.Y. 2008-09.

SCHEDULES FORMING PART OF THE BALANCE SHEET

		(Rs. '000)
	As at <u>31.03.2008</u>	As at <u>1.03.2007</u>
4. UNSECURED LOANS		
i) 14.5% Government of India Loan (Note 2 on Schedule 24)	-	500,000
Add : Interest Accrued & Due	-	36,250
	-	536,250
 ii) Fixed Deposits		
Unclaimed Public Deposits	-	41
Add : Interest Accrued & Due	-	13
	-	54
	-	536,304

Amount falling due within next twelve months Rs. Nil (Previous year Rs. 525,041 thousand)

SCHEDULES FORMING PART OF THE BALANCE SHEET

5. FIXED ASSETS

(Rs. '000)

DESCRIPTION	GROSS BLOCK								DEPRECIATION								NET BLOCK	
	As at 01.04.2007	Additions	Deduction/ Sale	During the Year Transfer from Discarded Asset	Transfer to Discarded Asset	Inter Head Adjust- ment	Adjust- ment	As at 31.03.2008	Upto 01.04.2007	For the year	Deduction/ Sale	During the Year Transfer from Discarded Asset	Transfer to Discarded Asset	Inter Head Adjust- ment	Adjust- ment	Upto 31.03.2008	As at 31.03.2008	As at 31.03.2007
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Land :																		
Free hold	15174							15174									15174	15174
Lease hold	13830							13830	3692	227						3919	9911	10138
Roads, Bridges and Culverts	51179	1958						53137	19096	886						19982	33155	32083
Railway Siding	10784	2458						13242	9224	130						9354	3888	1560
Buildings including Sanitary and Water Supply System	1037021	5054	21242	2295				1023128	522704	18272	2968	1076				539084	484044	514317
Plant, Machinery and Mining Equipment	4706169	80786	210162	125697	11897			4690593	371055	146037	198130	117781	11302			3764941	925652	995614
Electrical Equipment and Installation	295272	827	5118	5205		-1	296185	219996	9372	3704	3752					229416	66769	75276
Shafts and Inclines	365763	42					365805	284040	9830							293870	71935	81723
Vehicles	76499	4142	9980	4628			75289	67128	1343	9466	4382					63387	11902	9371
Furniture, Fixtures, Office, Hospital, Survey and Drawing Equipment	101300	9888	531					110658	76598	2685	369					78915	31743	24702
Total	6672991	105155	247033	137825	11897	-	-	6657041	4913033	188782#	214637	126991	11302	-	-	5002868	1654173	1759958
Previous Year	6608127	225350	83204	75404	152686	-	-	6672991	4761289	295714	73571	66136	136568	-	33	4913033	1759958	-
DETAILS OF DISCARDED ASSETS																		
Discarded Assets	755349			11897	137825			629421	666559	1418 #	11302	126991				552288	77133	88790
Less Provision																	77133	88790
Discarded Assets net of provision																	-	-

Refer main Profit & Loss Account and Schedule No. 7 and 22.

Fixed Assets exclude items of Rs. 300 thousand (Previous Year Rs. 235 thousand) held in stores and on these items no depreciation has been charged as per past practice which comes to Rs. 112 thousand (Previous Year Rs. 109 thousand)

SCHEDULES FORMING PART OF THE BALANCE SHEET

	(Rs. '000)	
	As at	As at
	31.03.2008	31.03.2007
6. CAPITAL WORK-IN-PROGRESS		
Plant and Machinery	490,595	387,570
(including in transit Rs. Nil		
- previous year Rs. Nil)		
Others	383,567	334,758
	874,162	722,328
Less : Provision	656,222	627,359
	217,940	94,969
ADVANCE FOR CAPITAL EXPENDITURE		
Unsecured - Considered Good	64,352	8,186
Considered Doubtful	2	2
	64,354	8,188
Less : Provision	2	2
	64,352	8,186
	282,292	103,155
7. MINE DEVELOPMENT EXPENDITURE		
As per last Balance Sheet	3,677,837	3,505,908
Add : Expenditure during the year		
as per Schedule 7.01	995,563	839,819
	4,673,400	4,345,727
Less : Value of ore recovered during mine development	67,528	43,230
Amortisation	660,493	624,660
	728,021	667,890
	3,945,379	3,677,837
Less : Provision	514,095	514,095
	3,431,284	3,163,742
7.01 MINE DEVELOPMENT EXPENDITURE		
Salaries,Wages & Allowances	114,325	104,266
Contribution to Provident & Other Funds	16,414	10,814
Workmen & Staff Welfare	9,296	9,006
Gratuity	2,660	1,221
Stores,Spares & Tools Consumed	371,303	306,933
Power, Fuel & Water	30,018	29,874
Royalty	2,018	561
Repairs :		
- Building	1,010	475
- Plant & Machinery	19,328	9,164
- Others	96,996	37,049
Insurance	558	209
Overburden Removal Expenditure	236,335	258,203
Prospecting, Survey, Drilling, Sampling & Analysis	18,578	16,941
Depreciation	30,159	25,833
Miscellaneous	46,565	29,270
	995,563	839,819

SCHEDULES FORMING PART OF THE BALANCE SHEET

		(Rs. '000)
	As at 31.03.2008	As at 31.03.2007
8. INVESTMENTS (at cost)		
Non-trade Investments in Debentures :		
- Unquoted		
17 Nos. 5% Debentures of Rs 1,000 each fully paid up in Woodlands Hospital & Medical Research Centre Ltd.	17	17
	<u>17</u>	<u>17</u>
Aggregate Book Value - Unquoted	17	17
9. INVENTORIES		
(As Taken, Valued and Certified by the Management)		
Raw Materials [at cost] (in transit Rs. Nil - Previous year Rs Nil)	513,355	1,160,205
Semi-Finished and In-Process [at lower of cost or net realisable value]	2,562,540	2,248,628
Less : Provision	<u>46,998</u>	<u>47,600</u>
	2,515,542	2,201,028
Finished Goods [at lower of cost or net realisable value] (in transit Rs. 87,023 thousand Prev.yr. Rs. 82,249 thousand)	486,018	370,212
Less : Provision	<u>20,838</u>	<u>21,748</u>
	465,180	348,464
Stores & Spares [at cost] (in transit Rs. 25,896 thousand) - Previous year Rs 28,804 thousand)	843,320	875,149
Less : Provision for Obsolescence/Non-moving & Verification Discrepancies (net)	453,246	482,706
Less : Provision for Stores & Spares of irregular use	<u>25,346</u>	<u>19,105</u>
	364,728	373,338
Loose Tools [at cost]	2,391	2,396
	<u>3,861,196</u>	<u>4,085,431</u>
10. SUNDRY DEBTORS		
Exceeding six months	38,848	54,334
Other Debts	<u>497,110</u>	<u>424,517</u>
	535,958	478,851
Less : Provision for doubtful debts	34,552	34,408
	<u>501,406</u>	<u>444,443</u>
Particulars of Debt :		
Unsecured - Considered Good	501,406	444,443
Considered Doubtful	34,552	34,408

SCHEDULES FORMING PART OF THE BALANCE SHEET

	(Rs. '000)	
	As at 31.03.2008	As at 31.03.2007
11. CASH & BANK BALANCES		
Cash & Stamps in Hand	1,203	901
Cheques / Drafts in Hand	19,565	45,396
Balance with Scheduled Banks on :		
(i) Fixed Deposit Accounts	4,765,000	3,974,350
(ii) Current Accounts	500,456	367,745
(iii) Margin Money	2,177	-
	5,267,633	4,342,095
	5,288,401	4,388,392
12. OTHER CURRENT ASSETS		
Interest Accrued on :		
- Loans/ Advances/ Deposits and Others	68,500	19,497
Less : Provision	150	150
	68,350	19,347
13. LOANS AND ADVANCES		
Loans	13,571	14,405
Advances Recoverable in Cash or in kind or for Value to be Received	249,535	213,956
Claims Recoverable	257,502	242,830
Deposits	1,086,527	572,104
Balance with Customs, Port Trust etc.	468,977	46,098
	2,076,112	1,089,393
Less : Provision for Doubtful Advances and Claims	910,867	497,958
	1,165,245	591,435
Particulars of Loans & Advances :		
Considered Good - Secured	2,380	3,159
- Unsecured	1,162,865	588,277
Considered Doubtful	910,867	497,957
Note : Amount due from Director	-	-
Amount due from an Officer	-	-
Maximum amount due at any time during the year from : - Director	-	-
- Officer	-	-

SCHEDULES FORMING PART OF THE BALANCE SHEET

	(Rs. '000)	
	As at	As at
	<u>31.03.2008</u>	<u>31.03.2007</u>
14. CURRENT LIABILITIES & PROVISIONS		
Current Liabilities :		
Sundry Creditors - Goods	2,317,976	2,977,976
Sundry Creditors - Others	514,071	746,981
Sundry Creditors - SSI Units	47,202	41,101
Security & Earnest Money Deposits	252,500	207,261
Grants-in-Aid	134,123	151,815
Other Liabilities	795,126	929,555
Interest Accrued but not due on Loans	5,224	19,043
	<u>4,066,222</u>	<u>5,073,732</u>
Provisions :		
Wealth Tax	8,287	9,282
Income Tax	690,700	210,700
Others (Note 10 on Schedule 24)	<u>1,198,792</u>	<u>949,141</u>
	<u>1,897,779</u>	<u>1,169,123</u>
	<u>5,964,001</u>	<u>6,242,855</u>

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

	(Rs. '000)	
	<u>2007-08</u>	<u>2006-07</u>
15. OTHER INCOME		
Sale of Scrap	21,754	120,630
Profit on sale of Fixed Assets (net)	98,520	20,097
Interest :		
- On Loans, Advances, Deposits etc.	383,101	93,836
- Received from Customers	42,892	26,753
Claims	3,784	1,051
Provisions written back	122,125	44,639
Gain on Exchange Fluctuation	287,955	-
Conversion Charges	45,690	10,226
Miscellaneous	78,990	42,084
	<u>1,084,811</u>	<u>359,316</u>
16. INCREASE / (DECREASE) IN STOCK OF FINISHED GOODS, SEMI-FINISHED & IN-PROCESS		
Opening stock :		
Finished Goods	370,212	591,860
Semi-Finished and In- Process	2,248,628	1,301,099
Total Opening Stock	<u>2,618,840</u>	<u>1,892,959</u>
Closing stock :		
Finished Goods	486,018	370,212
Semi-Finished and In-Process	2,562,540	2,248,628
Total Closing Stock	<u>3,048,558</u>	<u>2,618,840</u>
Increase / (Decrease)	<u>429,718</u>	<u>725,881</u>
17. MATERIALS, SPARES & COMPONENTS		
Raw Materials Consumed	6,059,688	5,584,035
Stores, Spares & Tools Consumed	817,604	707,963
Value of Ore raised during mine development	67,528	43,230
	<u>6,944,820</u>	<u>6,335,228</u>
18. EMPLOYEES' REMUNERATION & BENEFITS		
Salaries, Wages & Allowances	1,389,794	1,117,414
Arrear Salaries, Wages & Allowances (from 01.08.2002 to 31.07.2003)	169,995	180,210
Previous year - from 01.08.2003 to 31.07.2004)		
(Note 9 on Schedule 24)		
Bonus/Ex-gratia	32,714	24,689
Contribution to Provident & Other funds	154,227	90,303
Workmen & Staff Welfare	138,891	137,103
Gratuity	249,228	206,812
V R S Expenses	17,692	39,013
Less : Transfer from Grant-in-Aid	<u>17,692</u>	<u>39,013</u>
	-	-
	<u>2,134,849</u>	<u>1,756,531</u>

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

		(Rs. '000)
	<u>2007-08</u>	<u>2006-07</u>
19. OTHER EXPENSES OF MANUFACTURING, ADMINISTRATION, SELLING & DISTRIBUTION		
Power, Fuel & Water	1,851,653	1,709,779
Repairs :		
Building	14,444	12,835
Plant & machinery	82,515	48,462
Others	<u>93,889</u>	<u>60,223</u>
	190,848 *	121,520
Major Overhaul Expenditure	6,342	-
Royalty, Cess & Decretal amount	329,963	370,086
Insurance	11,151	11,377
Rent	20,723	7,386
Rates & Taxes	87,780	43,624
Directors' Fees	55	-
Remuneration to Auditors :-		
Audit Fees :		
- Statutory Audit Fees	482	465
- Tax Audit Fees	154	147
- Other Capacity	472	506
- For Expenses	<u>909</u>	<u>547</u>
	2,017	1,665
- Cost Audit Fees	60	60
- For Expenses	<u>11</u>	<u>5</u>
	71	65
- Internal Audit Fees	-	90
- For Expenses	<u>-</u>	<u>215</u>
	-	305
Handling & Transportation	373,994	334,276
Guarantee Fees	27,828	30,000
Commission	44,444	29,625
Loss on Exchange Fluctuation	-	91,659
Loss on Sale of Stores (net)	25,304	51
Discount & Rebate	267,359	418,994
Tolling Charges-(Copper bearing material)	72,115	40,573
Miscellaneous	415,211	262,057
	<u>3,726,858</u>	<u>3,473,042</u>

* Repairs carried out departmentally does not include expenditure of Stores and Spares consumed Rs. 382,711 thousand (Previous year Rs. 323,500 thousand) which have been shown under respective head of account.

SCHEDULES FORMING PART OF PROFIT & LOSS ACCOUNT

	(Rs. '000)	
	<u>2007-08</u>	<u>2006-07</u>
20. INTEREST		
14.5% Government of India Loan	22,803	43,567
Cash Credit	2,524	12,312
7.5% Corporate Term Loan	101,936	98,640
10.65% Redeemable Bonds	-	19,914
14% Debentures	8,657	37,829
Others	144,185	136,264
	<u>280,105</u>	<u>348,526</u>
21. PROVISIONS, LOSSES & WRITE OFF		
Provisions for :		
- Stores Discrepancies	151	5
- Finished Stock/WIP	-	910
- Doubtful Debts, Advances & Claims etc.	418,733	362,745
- Loss of Fixed Assets	48	18,045
- Capital Work-in-Progress	10,871	105,504
- Non-moving / Obsolete stock / Spares	34,489	8,029
- Mining lease	1,209	1,209
	<u>465,501</u>	<u>496,447</u>
22. PRIOR YEARS' NET DEBITS / (CREDITS)		
Debits :		
Raw Materials, Stores & Tools Consumed	4,218	-
Salaries , Wages and Allowances	-	25
Power & Fuel	1,533	-
Repairs and Maint. Plant and Machinery and Others	17,274	256
Depreciation	1,618	33
Handling and Transportation Charges	689	2,837
Workmen and Staff Welfare	2,525	-
Interest	4,145	-
Miscellaneous Expenses	44,290	12,410
	<u>76,292</u>	<u>15,561</u>
Credits :		
Entry Tax	-	4,520
Excise/Cenvat	-	4,208
Miscellaneous Income	267	502
	<u>267</u>	<u>9,230</u>
Net Debit / (Credit)	<u>76,025</u>	<u>6,331</u>

SCHEDULES FORMING PART OF THE ACCOUNTS

23 SIGNIFICANT ACCOUNTING POLICIES

1. BASIS OF ACCOUNTING :

The financial statements are prepared under historical cost convention from the books of account maintained on an accrual basis and in accordance with the Accounting Standards issued by the Institute of Chartered Accountants of India.

2. USE OF ESTIMATES :

Financial statements have been prepared based on in-house technical estimates in respect of the following:

- Allocation of service shaft expenses, underground mining expenditure between revenue and capital.
- Metal content in raw materials, WIP and finished goods.
- Credit of anode scrap generation in refinery plants.
- Mineable ore reserves in underground mines.
- Stripping ratio in open cast mines.

3. FIXED ASSETS :

3.1 Fixed assets are recorded at cost net of CENVAT and VAT credit wherever applicable less accumulated depreciation and impairment loss, if any.

3.2 Pending reconciliation/receipt of the final bills against capital items, capitalization is done on the basis of cost booked and depreciation is charged accordingly. Price differences, if any, are adjusted in the year of finalization of bills.

3.3 In respect of expenditure during construction of a new unit in a new location, all direct capital expenditure as well as all indirect expenditure incidental to construction are capitalized allocating to various items of fixed assets on an appropriate basis. Expansion programme involving construction concurrently run with normal production activities in an existing unit, all direct capital expenditure in relation to such expansion are capitalized but indirect expenditure are charged to revenue.

3.4 Expenses incurred for implementation of new projects are carried forward against respective projects till execution. Expenses rendered infructuous on projects abandoned subsequently are provided in the Profit & Loss Account.

3.5 Physical verification of fixed assets is carried out once in every five years. Shortage/excess, if any, is provided for in the year of identification.

4. DEPRECIATION :

Depreciation on fixed assets is provided on straight line method at the rates prescribed in schedule XIV to the Companies Act, 1956. Depreciation on assets acquired prior to 1.04.93 is charged on derived rates by allocating the unamortized value over the remaining life arrived at on the basis of rates prescribed under the Schedule XIV to the Companies Act, 1956. Depreciation in respect of plant & machinery and building of new project is charged from the date of commercial production.

5. GRANTS-IN-AID :

Fixed assets acquired out of funds provided by the Government by way of grants-in-aid are stated in the books at cost less depreciation and special reserve created for the same is apportioned over the life of the assets by transfer to profit and loss account.

SCHEDULES FORMING PART OF THE ACCOUNTS

6. IMPAIRMENT OF ASSETS :

The Company reviews the carrying amount of its fixed assets, whenever circumstances indicate that the carrying amount of the asset is less than the realizable value. The Company assesses recoverability of the carrying value of the assets by grouping assets of entire one plant as Cash Generating Unit (CGU). The Company then estimates the discounted future cash flows expected to result from CGU. If the estimated discounted future cash flow expected to result from the use of the asset are less than its carrying amount, the asset is deemed to be impaired. The amount of impairment is measured as the difference between the carrying value and fair market value.

7. MINE DEVELOPMENT EXPENDITURE :

7.1 In case of underground mines : The expenditure on development of a new mine in all cases and on subsequent development of a working mine in specified cases is capitalized and amortized on the basis of ore raised during the year and the mineable ore reserves estimated from time to time. The ore obtained during development activity is adjusted against such expenditure at its derived realizable value.

7.2 In case of working mines, where development activities are going on simultaneously : Expenses are apportioned between capital or revenue on the basis of inhouse technical estimates.

7.3 In respect of open cast mines : The expenditure on removal of waste and overburden, is capitalized and the same is amortized in relation to actual ore production during the year and the stripping ratio of the mine as determined by the company at the weighted average rate.

7.4 Expenditure incurred on exploration of new deposits is included in mine development expenditure. If the exploration activities are found to be not fruitful, the expenditure on such exploratory work included in mine development expenditure is written off in the year in which it is decided to abandon the project.

8. MAJOR OVERHAULING EXPENSES :

The expenditure attributable to major overhaul of smelter/refinery is charged to the Accounts in the year of incurrence.

9. INVENTORIES :

9.1 Stocks of raw materials, stores and spare parts, loose tools and materials-in-transit are valued at cost. Loose tools when issued are charged off to revenue.

9.2 Finished goods and work-in-process are valued at the lower of the net realizable value and weighted average cost to the unit. The cost is exclusive of financing cost, such as, interest, bank charges etc. The value of slag under work in process is taken at equivalent value to the extent credited to the process, where the said products have been generated. The reverts under work-in-process are valued at lower of cost (equivalent value of concentrates) and net realizable value.

9.3 The stock of anode slime arising from treatment and refining processes are stated at realizable value based on the year end London Metal Exchange price for gold and silver after making due adjustments of their physical recovery and the treatment and refining charges.

9.4 Liability for excise duty on finished goods in stock lying at works or warehouses is provided in the accounts and also considered in stock valuation.

SCHEDULES FORMING PART OF THE ACCOUNTS

- 9.5 The inventories out of inter-unit transfers at the close of the year are valued on the basis of cost or net realizable value whichever is lower to the transferor unit. No adjustment is made in respect of difference between the cost and transfer price for such transferred products in case of partly processed materials lying at various stages of production and finished stocks at the end of the year, since this is not practically ascertainable.
- 9.6 Imported materials are valued at weighted average cost. In the event where final price is not determined valuation is made on provisional cost. Variations are accounted for in the year of finalization.
- 9.7 Once in every three years provision is made in the accounts for non-moving stores and spares (other than insurance spares) which have not moved for more than five years.
- 9.8 Scraps are accounted for on realization.
10. **SALES :**
- Sales are net of discounts other than cash discounts.
11. **OTHER INCOME :**
- 11.1 **Claims :** Claims on account of liquidated damages and insurance are accounted for as and when these are realised and/or considered recoverable by the company.
- 11.2 **Conversion charges :** Income from conversion of job work is accounted for on the basis of dispatches made .
- 11.3 **Interest on L/C bills :** Interest up to the date of Balance Sheet on all outstanding bills is accounted for on accrual basis.
12. **RETIREMENT BENEFITS :**
- 12.1 **Gratuity and Leave encashment :** Liabilities towards gratuity and leave encashment to employees as at the end of the year are provided for on the basis of actuarial valuation.
- 12.2 **Deficit in Provident Fund :** Deficit, if any, on account of Provident Fund Trust is accounted for on the basis of accrued liability, as ascertainable on the basis of last accounts closed by the Provident Fund Trust.
13. **BORROWING COST :**
- Interest/finance cost on loans specifically borrowed for new and expansion projects up to the start of commercial production is charged to the capital cost of the projects concerned. All other borrowing cost are charged to revenue.
14. **ACCOUNTING FOR TAXES ON INCOME :**
- Income Tax Expense comprises current tax and deferred tax charge. Deferred Tax is recognized on timing differences, being the difference between Taxable Income and Accounting Income that originate in one period and are capable of reversal in one or more subsequent periods. Deferred Tax Assets are recognized only if there is virtual certainty that sufficient future taxable income will be available against which Deferred Tax Assets will be realized. Such balances of Deferred Tax Assets are reviewed as at each Balance Sheet Date to reassess the realisability thereof.

SCHEDULES FORMING PART OF THE ACCOUNTS

15. GENERAL :

- 15.1 Foreign Currency Transactions :** Transactions in foreign currencies are recognized at rates on the date of the transactions are settled. Year-end balances of receivables/payables are translated at applicable forward contract/year-end rates and resultant translation differences relating to fixed assets are adjusted against fixed assets and the balance is recognized in the Profit and Loss Account.
- 15.2 Contingent Liability :** Contingent Liabilities are disclosed in the Notes forming part of the accounts.
- 15.3 Events occurring after the Balance Sheet date :** Assets and Liabilities are adjusted for significant events occurring after the Balance Sheet date that provide additional evidences to assist the estimation of accounts relating to conditions existing at the Balance Sheet date.
- 15.4 Prior Period & Extra Ordinary Items :** (i) The nature and amount of prior period items (ii) extra-ordinary items are separately disclosed in the statement of Profit & Loss in a manner that their impact on the current Profit & Loss can be perceived.
- 15.5 Research and Development Expenditure :** Expenditure on research and development is charged off to Profit & Loss account in the year it is incurred. Expenditure on fixed assets in this regard is capitalized.
- 15.6 Mine Closure Expenditure :** Financial implications towards final mine closure plans under relevant Acts and Rules are technically estimated and the involvement, not being material, are charged off on actual incurrance.
- 16. Voluntary Retirement Expenses :**
- 16.1 Paid out of own fund :** Voluntary Retirement expenditure incurred by the company is charged to revenue over a period of 60 months.
- 16.2 Paid out of Government Grant :** Voluntary Retirement Expenditure is adjusted against Government Grant received for this purpose.

SCHEDULES FORMING PART OF THE ACCOUNTS

24 NOTES ON ACCOUNTS

		(Rs. '000)	
		2007-08	2006-07
1.	Contingent liabilities not provided for in respect of :-		
a.	Estimated amount of capital commitments	210113	629841
b.	Other money for which the company is contingently liable		
i.	Arrear Salary	597699	767694
ii.	Sales Tax	41563	42939
iii.	Excise Duty	816618	1345796
iv.	Others	2942058	3788826
2.	Based on the recommendations of Board for Reconstruction of Public Sector Enterprises, financial restructuring proposal has been approved by the Government of India, Ministry of Mines vide letter No. 1(19)/2004-Met.III dated 30.07.2007 approving (i) Reduction of face value of Equity Shares from Rs 10/- to Rs 5/- each, (ii) Waiver of 7.5% Non Cumulative Redeemable Preference Shares amounting to Rs 1807324 thousand and their adjustment against the accumulated loss to enable the Company to pursue its growth agenda and (iii) Conversion of Non-Plan Loan of Rs 500000 thousand into Equity Shares of the company. The Government of India, Ministry of Corporate Affairs has also approved the clause no. (i) and (ii) above vide their letter no. 40/2/2007-CL-III dated 16.04.2008. Pursuant to the above sanction, the Company has reduced the accumulated loss as on 31.03.2007 to the tune of Rs 4098738 thousand against total amount available for reduction of loss for Rs 5648414 thousand arising out of reduction of face value of shares for Rs 3841090 thousand and waiver of 7.5% Non Cumulative Redeemable Preference Shares for Rs 1807324 thousand respectively and balance of Rs 1549676 thousand has been transferred to Capital Reserve Account. Non-Plan Loan of Rs 500000 thousand has been transferred to Share Money Awaiting Allotment. Consequent upon conversion of Non-Plan Loan of Rs. 500000 thousand into Equity Shares, an amount of Rs. 49697 thousand results in saving towards interest cost of the company.		
3.	In absence of lease agreement with the State Government in respect of certain leasehold lands the amortization has been done for the adhoc payment made so far. In case of certain freehold lands acquired through nationalization in accordance with Indian Copper Corporation (Acquisition of Undertaking) Act, 1972, title deeds, conveyance deed etc. are not under possession of the company.		
4.	The title deeds are yet to be executed in respect of office flat at SCOPE Complex, Delhi and Jaipur office having book value of Rs 9424 thousand.		
5.	At ICC Pollution Control Plant under Package I & III amounting to Rs 210050 thousand have not been capitalized for want of completion of trial/guarantee run as per terms of the contract. As a matter of prudence, a provision amounting to Rs 160957 thousand upto 2006-07 has been made in the accounts to take care of efflux of time. Since the Plant has not been capitalized till now, a further provision against Capital WIP of Rs 10871 thousand has been made in 2007-08.		
6.	The balances under the heads Sundry Creditors, Sundry Debtors, Loans, Advances and Claims Recoverable are subject to confirmations.		
7.	A sum of Rs 47202 thousand (previous year Rs 41101 thousand) is payable to Small Scale and Ancillary Industrial Undertaking.		
8.	None of the creditors have reported as registered under Micro, Small and Medium Enterprises Development Act, 2006.		

SCHEDULES FORMING PART OF THE ACCOUNTS

9. Pay revision of the employees of the Company has been made effective with the approval of the concerned Ministry w.e.f. 01.08.04 reckoning the base date from 01.01.1997 and 01.11.1997 for Executives and Non Executives respectively for the purpose of fixation of pay. The resultant liability amounting to Rs 180210 thousand for the period 01.08.03 to 31.07.04 based upon approval of Ministry of Mines was accounted for during the year ended 31st March 2007. Further, a sum of Rs. 169995 thousand has been accounted for in the current year as "Arrear Salary" under Employees Remuneration & Benefits for the period 01.08.02 to 31.07.03. The issue of arrear salary for the period from 01.01.1997/01.11.1997 to 31.07.2002 is yet to be finalized and is subjected to approval of Ministry of Mines. In view of the situation an amount of Rs. 597699 thousand computed on the aforesaid basis for the said period has been considered as contingent liability.
10. Pursuant to the Office Memo No. 2(7) / 2005 DPE (WC) GL – III dated 26.02.2008 of Department of Public Enterprise and subsequent approval of Ministry of Mines vide Letter No.10(1)/2008-Met.III dated 21.05.2008 approving merger of 50% Basic Pay from existing Dearness Allowance w.e.f. 01.01.2007 for which Company has provided liability amounting to Rs.115000 thousand inclusive of all other allowances having linkage to Basic Pay.
11. The Company has entered into an agreement with a foreign enterprise to re-commission, operate and maintain Surda Mines and Mosabani Concentrator Plant to supply and deliver entire production of Copper Concentrate at an agreed price to Moubhandar Works of ICC unit. The said Company has started operation during the year with the usable fixed assets at aforesaid unit for which depreciation has been provided in the books of account.
12. In accordance with the guidelines of AS-28 on "Impairment of Assets" issued by the Institute of Chartered Accountants of India, the Company has assessed the recoverable value of its Cash Generating Units. In the opinion of the management, there is no impairment of assets that require a provision to be made in the accounts for the year under review.
13. The Company has closed/suspended many of its mining operations located at various places, Fertilizer Plant at Khetri in different years due to their uneconomic operations. As per requirement of AS-24 on "Discontinuing Operations" the following information for the year are furnished :

(Rs. '000)

(Previous year figures in brackets)

	MSB GROUP OF MINES	RCP	CCP	DCP	Fertilizer Plant
(i) Initial disclosure event (Year of Closure)	1997 to 2003	2001	2002	1994	2001
(ii) Carrying amount of Assets	No separate records maintained	5398 (5398)	897 (897)	- (-)	No separate records maintained
(iii) Liabilities to be settled		19172 (29025)	7304 (7304)	338 (338)	
(iv) Amount of income	41455 (12708)	9138 (10810)	78 (-)	- (-)	
(v) Amount of expenses	20636 (89589)	3141 (16505)	- (-)	- (-)	
(vi) Gain on sale of assets (Incuded in iv above)	26500 (12036)	4689 (4616)	- (-)	- (-)	

SCHEDULES FORMING PART OF THE ACCOUNTS

14. Since the company is primarily engaged in the business of manufacture and sale of copper products, the same is considered to be the only primary reportable business segment and accordingly reported. As the Company operates predominantly within the geographical limits of India no secondary segment reporting have been considered as per Accounting Standard "Segment Reporting (AS-17)".

15. Related Party Disclosure :

Particulars	Key Management Personnel	Total Remuneration (Rs)	
		2007-08	2006-07
Receiving of Services	1. Sri Satish C Gupta CMD	8,07,956.00	7,14,596.00
	2. Sri M Samajpati D(F)	6,76,661.00	6,12,947.00
	3. Sri P Swarup D(OP) (upto 31.01.2007)	-	8,96,875.00
	4. Sri D Satapathy D(P)	7,54,065.00	7,13,189.00
	5. Sri K D Diwan D(OP) (from 14.09.2007)	3,87,591.00	-

16. The numerators and denominators used to calculate basic and diluted EPS :

	(Rs. '000)	
	BASIC	DILUTED
Numerator used : Profit After Tax	2464606 (3139445)	2464606 (3139445)
Denominator used: Weighted average number of Equity Shares of Rs.5/- (Previous year Rs 10/- each) outstanding during the year	768218000 (781697452)	892431115 (819882384)

17. The Company has accounted for Deferred Tax in accordance with the guidelines of AS-22 on "Accounting for Taxes on Income" issued by The Institute of Chartered Accountants of India. The Deferred tax balances are set out below :-

DEFERRED TAX ASSET (NET) : -

(Rs. '000)

Particulars	Deferred Tax Asset/(Liability) as at 01.04.2007	Credit/(Charge) during 2007-08	Deferred Tax Asset/(Liability) as at 31.03.2008
Deferred Tax Asset :			
(i) Accumulated Unabsorbed Depreciation	399,825	(399,825)	-
(ii) Accumulated business loss	1,664,095	(1,664,095)	-
(iii) Difference between provision made in accounts and claims made as per I.T. Act	191,487	844,777	1,036,264
	2,255,407	(1,219,143)	1,036,264
Deferred Tax Liability :-			
Difference between net book value of depreciable capital assets vis-à-vis WDV as per I T Act	(432,993)	25,254	(407,739)
Profit 2006-07	(1,116,936)	1,116,936	-
	(1,549,929)	1,142,190	(407,739)
Deferred Tax Asset (Net)	705,478	(76,953)	628,525

SCHEDULES FORMING PART OF THE ACCOUNTS

18. PROVISIONS FOR CONTINGENCIES : –

(Rs. '000)

PARTICULARS	Discarded Fixed Assets	Capital WIP & Advance	Mines Development Expenditure	Others	TOTAL
Carrying amount as at 01 st April '07	88,790	627,361	514,095	2,269,855	3,500,101
Amount provided during the year	-	28,863	-	735,283	764,146
Amounts utilized against provision	-	-	-	-	-
Unused amounts released during the year	11,656	-	-	110,469	122,125
Carrying amount as at 31 st March '08	77,134	656,224	514,095	2,894,669	4,142,122

19. GRATUITY AND OTHER POST-EMPLOYMENT BENEFIT PLANS :

The Company has a defined benefit gratuity plan. Every employee who has completed five years or more of service gets a gratuity on departure at 15 days salary (last drawn salary) for each completed year of service. The scheme is partially funded through Life Insurance Corporation of India and SBI Life.

The following tables summaries the components of net benefit expense recognized in the Profit and Loss Account and the funded status and amounts recognized in the Balance Sheet for the respective plans.

(Rs. '000)

	Gratuity (Funded plan)	Leave Encashment (Non-funded plan)
(i) Change in Defined Benefit Obligation		
Opening defined benefit obligation	620,175	211,537
Current service cost	42,823	54,313
Interest cost	52,408	17,981
Benefits Paid	7,231	-
Actuarial gain / (loss)	143,200	21,455
Closing defined benefit obligation	851,375	305,286
(ii) Change in Fair Value of Assets		
Opening fair value of plan assets	73,942	
Expected return on plan assets	5,915	
Actuarial gain / (loss)	270	
Contributions by employer	200,000	
Benefits paid	7,231	
Closing fair value of plan assets	272,896	

SCHEDULES FORMING PART OF THE ACCOUNTS

(Rs.'000)

	Gratuity (Funded plan)	Leave Encashment (Non-funded plan)
(iii) Amount recognized in the Balance Sheet		
Opening Net Liability	546,234	-
Expenses Recognized	232,245	93,748
Contributions	200,000	-
Closing Net Liability	578,479	93,748
Closing Fund / Provision at end of year	851,375	305,285
(iv) Expenses recognized in the Profit and Loss Account		
Current service cost	42,823	54,313
Interest cost	52,407	17,981
Expected Return on Plan Asset	5,915	-
Net actuarial gain / loss recognized in the current year	142,930	21,455
Expenses Recognized as on 31.03.2008	232,245	93,749

20. The physical verification of stores and spares have been carried out during the year. Discrepancies identified on physical verification are not of material in nature and duly adjusted in the books of accounts. However in respect of Mosabani Stores (ICC) physical verification job is in progress.
21. MCP had been paying water charges regularly to the State of Madhya Pradesh as per 30 years agreement between MCP and undivided Madhya Pradesh. On 18.04.2007 Chattisgarh Government served a demand notice to MCP for Rs 22694 thousand for the period November 2000 to March 2007 for water supplied from Dam on the ground that the same had fallen under Chattisgarh after formation of the state. Since water charges has already been paid by MCP to the Government of Madhya Pradesh, MCP paid the demanded amount on April 2007 under protest as advance to avoid any stoppage of water and taken up with the Government of Madhya Pradesh for working out the modalities for recovery of the same. This has been disclosed under contingent liability. During the year liability has been provided from 01.04.2007 to 17.04.2007 and from 01.07.2007 to 31.03.2008 for Rs 11374 thousand based on actual consumption departmentally assessed in absence of bills from concerned State Government.
22. During the year the Company has approved implementation of Enterprise Resource Planning (ERP) through a consultancy firm. Since the implementation is a continuous process all the capital expenditure has been shown under Capital WIP pending installation, and the expenses incurred for training, implementation, daily allowances, conveyance etc. has been charged off during the year.
23. Work-in-Process includes stock worth Rs 88437 thousand lying with third party.
24. Previous year's figures have been regrouped/rearranged wherever necessary.

Annexure (Refer Note No. 7 in Schedule No. 24)

The following are the names of SSI units to whom the Company owes any sum, which is outstanding for more than 30 days as on 31.03.2008

Sl. No.	Name of Party	Principal Amount Outstanding as on 31.03.2008 (Rs)	Principal Amount Outstanding as on 31.03.2007 (Rs)
1	Atlas Industrial Corporation	107743.68	105312.65
2	Ashoka Machine Tools	261865.85	154806.85
3	Amruta Industries	993317.05	995748.08
4	Ankit Industrial Gases (P)Ltd	1324431.91	1204431.52
5	Alpha Carbon Brash Manufacturing Co	51926.88	33195.88
6	Anjana Minerals Pvt Ltd	31027.63	—
7	Aparna Enterprises	73591.06	—
8	Anmol Printing Press	4920.56	—
9	Arihant Castings	1211850.00	4099889.00
10	Aman Conveyor Roller Industry	11553.02	10409.00
11	Arudra Engineers Pvt Ltd	33027.00	3513.00
12	Applo Batteries	—	1144.02
13	Ayyappa Engineering	280619.88	84305.93
14	American Rubber Mfg Co	—	2802.74
15	Associted Pneumatic Industries	141868.68	133782.94
16	Bengal Rubber Manufacturing Ltd	33920.03	36150.84
17	Bharat Minerals	—	5283.00
18	Bharat Engineering & Manufacturing Co	241631.25	243631.92
19	Bharat Wood Works	1705311.00	1772350.00
20	Bihar Paints & Pigments Co	—	36.41
21	Bihar Steel Production	279898.59	277897.92
22	Cee Dee Industries	5687.00	162950.00
23	Chota Nagpur Foundry Ltd	1155984.49	1137799.99
24	Chota Nagpur Chemical Industries	115757.49	171600.00
25	Courtesy Printers	9562.04	11962.04
26	Deepak Engineering Co	279063.19	207194.84
27	Deepak Engineering Works	4381409.99	736342.99
28	Denish Engineering Works	806086.41	83025.41
29	Diamet Enterprises	—	71831.94
30	Dil Industries	22056.25	—
31	Dujodwal Resins	—	12565.60
32	Engineering Enterprises	973416.42	974416.44
33	Flow Creators	—	2141.74
34	Foundry of India	1021311.29	1022211.65
35	Friends Engineering Corporation	—	14142.38
36	Gajalaxmi Iron Works	135446.60	225446.72
37	Giriraj Hydraulics (P) Ltd	117460.00	99656.00
38	Glaxy Foundries (P) Ltd	283473.59	292473.41
39	Goel Industries	149975.44	494489.08
40	Grand Union Trading Co	—	173.00
41	Hind Engineering & Traders	76738.51	76537.95
42	Howrah Machinery Works	631471.50	622471.38
43	Hydrokrimp A.C. (P) Ltd	41736.81	28752.00
44	Hindustan Facing Industries	—	219732.39

Annexure (Refer Note No. 7 in Schedule No. 24)

Sl. No.	Name of Party	Principal Amount Outstanding as on 31.03.2008 (Rs)	Principal Amount Outstanding as on 31.03.2007 (Rs)
45	Iemco Industries Ltd	—	48028.63
46	IGP Engineer (P) Ltd	229566.36	229466.99
47	Indo Industrial Services	29480.69	1325.65
48	Indra Udyog	81944.00	—
49	Inicorp Industries	95163.64	95364.20
50	Iqbal Brothers (P) Ltd	82.94	183.30
51	Industrial Mining Tools Co	6475.94	—
52	Industan Cotton Industry	6.00	39936.00
53	J.E. Thermit	—	16921.00
54	Jairam Engineering Works	—	609.34
55	Jhonson Rubber	8920.33	26355.00
56	K.M.Udyog	—	14321.00
57	K.N.Welding & Engineering Works	1307949.35	288753.38
58	Kedia Alam & Chemicals	39176.50	—
59	Kamal Industrial Concern	234848.83	180010.00
60	K.K.Rubber (I) Pvt Ltd	44256.00	—
61	Kiran Metal Works	—	223.86
62	Krishna Welding & Repairing Shop	96291.84	206940.54
63	Kwality Engineering Works	74624.00	69601.00
64	Laxmi Chemical	14563.24	54843.24
65	Leader Engineering Works	806.00	—
66	Laxmi Industries	—	1477.84
67	Laxmi Polyplast Industries	313448.00	—
68	M.A.S. Industries	146486.04	94486.00
69	Maheswari Lime Works	—	19924.84
70	Metreat Products	216899.01	187168.00
71	Modern Rubber Products	—	29459.77
72	Mohotta Fastners	—	271.24
73	Meghna Industries Pvt Ltd	274.73	—
74	Mecha-Tech Industries	130519.44	—
75	Mineral Processing Works	10339.87	—
76	Mechano Rubber & Allied Industries	5132.00	—
77	Microtek International	172926.00	399005.00
78	Nabin Engineering Works	—	3759.00
79	Nagpur Engineering Works	15209.61	20232.97
80	National Asbestors Corporation	—	619.00
81	Navbharat Explosives Co	789139.51	733912.21
82	NRC Industries Ltd	—	845358.00
83	Orlence Engineering Enterprises	384851.20	379834.52
84	Podder Industries	—	20939.10
85	Polymold Products	—	30529.20
86	Pneumatic Sales Corporation	32567.48	—
87	Polypack India Manufacturing Co	429.00	—
88	Presidency Rubber Mills	5280.80	—
89	Pradip Rubber Industries	26750.00	—

Annexure (Refer Note No. 7 in Schedule No. 24)

Sl. No.	Name of Party	Principal Amount Outstanding as on 31.03.2008 (Rs)	Principal Amount Outstanding as on 31.03.2007 (Rs)
90	Prakash Printers	—	6490.26
91	Precision Engineering Works	90729.22	124917.22
92	Premier Rubber Mills	753703.58	731414.58
93	Print Well	68303.63	11514.90
94	R K Industries	173989.31	173088.95
95	R.K.Enterprise	—	11642.50
96	Refractory Specialist	109789.00	131689.57
97	Rishi Industries	—	62332.00
98	Rollick Industries	300079.07	314426.52
99	R K Ball Bearing Manufacturing Co	21232.00	—
100	Sharma Engineering Works	683680.00	399982.90
101	Shree Jagannath Ferro Castings	780028.98	702115.61
102	Siva Metal Industries	1350791.98	5150554.98
103	Small Tools & Allied Manufacturing Co	—	1485.00
104	Spair Enterprises	253950.24	251890.61
105	Starling Engineering Works	71876.84	52876.32
106	Subernarekha Enterprises	1875658.56	2278854.62
107	Suman Industrial Corporation	128196.07	108457.87
108	Suyog Chemicals	394494.20	295498.71
109	Singhbhub Refractories	6111.11	—
110	Satyanarayan Iron Works (P) Ltd	7835845.47	1267307.00
111	Shree Narayana Pipe Manufacturing Co	—	16156.00
112	Siddhi Vinayak Casting	—	358783.00
113	Sunshine Conveyors Pvt Ltd	—	688505.00
114	Sunshine Rubber Products	—	34199.00
115	Talcem Castings	89865.33	82454.87
116	The Water Supply Specialists (P) Ltd	—	738.00
117	Thejo Engineering Services	4184898.36	2828831.80
118	Tirupati Engineering Works	298190.47	296190.42
119	Toshniwal Process Instruments (P) Ltd	—	5235.00
120	The National Small Industries	2766247.00	—
121	Trivine Engineering Works	279.00	—
122	Textile Mill Stores	—	151320.00
123	Unicast Engineering	102400.30	130570.30
124	Unik Engineers	404446.00	195468.00
125	Universal Asbestos Cement Products	—	1437.46
126	Utkal Moulders	108277.98	3168638.98
127	UTS India (P) Ltd	—	1576.98
128	Veckay Industries	—	6518.72
129	Vulcan Industrial Engineering Co	2064955.00	307567.00
130	Vikrant Ropes Pvt Ltd	—	11885.00
131	Wood Roll	774715.00	865546.00
		<u>47202283.14</u>	<u>41100630.12</u>

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (Contd.) :

Additional information forming part of accounts for the year ended March 31, 2008

24.1 Capacities, production, stocks and sales

Class of goods	Unit	Licenced capacity	Installed capacity (As certified by management)	Actual production
Manufacturing Activities				
a : Main products				
1. Wire bar	MT	39400	39400	–
	"	(39400)	(39400)	(–)
2. Wire rod	MT	60000	60000	42536
	"	(60000)	(60000)	(39393)
3. Cathode including	MT	47500	47500	44734
Toll Smelted Cathode	"	(47500)	(47500)	(39785)
b : By products				
1. Gold	KG	264	698	–
	"	(264)	(698)	(127)
2. Silver	KG	4763	9868	–
	"	(4763)	(9868)	(1708)
3. Nickel sulphate	MT	250	390	–
	"	(250)	(390)	(–)
4. Selenium	KG	10000	14600	–
	"	(10000)	(14600)	(3335)
5. Sulphuric acid	MT	236000	236000	41990
	"	(236000)	(236000)	(39342)

SCHEDULES FORMING PART OF THE ACCOUNTS

Year 2007-2008

(Figures in brackets pertain to those of previous year)

Opening Stock Quantity	Value	Closing Stock Quantity	Value	Sales Quantity	Value	Issued for internal consumption/ intermediate products and others Quantity
	Rs '000		Rs '000		Rs '000	
–	95	–	97	–	–	–
(525)	(109252)	(–)	(95)	(522)	(206011)	(3)
3	910	161	60428	42378	16228042	1
(261)	(66147)	(3)	(910)	(39651)	(15863054)	(1)
1230	325365	854	251941	3006	1187016	42105
(780)	(147785)	(1230)	(325365)	(2130)	(844791)	(37206)
–	35	–	48	–	–	–
(35)	(18526)	(–)	(35)	(162)	(150367)	(–)
–	1	–	2	–	–	–
(594)	(6103)	(–)	(1)	(2302)	(43033)	(–)
6	478	6	478	–	–	–
(6)	(478)	(6)	(478)	(–)	(–)	(–)
–	–	–	–	–	–	–
(3218)	(6207)	(–)	(–)	(6553)	(13669)	(–)
7524	14639	3179	27172	42187	198216	4147
(6989)	(15937)	(7524)	(14639)	(36513)	(75252)	(2295)

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (Contd.) :

Additional information forming part of accounts for the year ended March 31, 2008

24.1 Capacities, production, stocks and sales

Class of goods	Unit	Licenced capacity	Installed capacity (As certified by management)	Actual production
c : Allied and semi-finished products				
1. Anode slime	MT	NA	-	81
	"	(NA)	-	(68)
2. Copper mould	MT	NA	-	-
	"	(NA)	-	(-)
3. Kyanite	MT	NA	-	-
	"	(NA)	-	(-)
4. Others	MT	NA	-	
	"	(NA)	-	
G R A N D T O T A L				

Note :

* Opening stock includes value of Sulphuric Acid Rs 6724 thousand, Anode Mould Rs 2695 thousand, Wire Bar Mould Rs 1833 thousand, Liberator Cathode Rs 198 thousand, Anode Slime Rs 36959 thousand and Cathode Rs 74598 thousand which are shown in Work-in-Progress.

** Closing stock includes value of Sulphuric Acid Rs 22251 thousand, Anode Mould Rs 2990 thousand, Wire Bar Mould Rs 1833 thousand, Anode Slime Rs 38465 thousand and Cathode Rs 29945 thousand which are shown in Work-in-Progress.

SCHEDULES FORMING PART OF THE ACCOUNTS

Year 2007-2008

(Figures in brackets pertain to those of previous year)

Opening Stock		Closing Stock		Sales		Issued for internal consumption/ intermediate products and others Quantity
Quantity	Value	Quantity	Value	Quantity	Value	
	Rs '000		Rs '000		Rs '000	
19	124755	26	172886	75	596422	-1
(41)	(269687)	(19)	(91455)	(87)	(725047)	(2)
51	4529	54	4823	-	-	-4
(51)	(4528)	(51)	(4528)	(-)	(-)	(-)
13	8	13	8	-	-	-
(13)	(8)	(13)	(8)	(-)	(-)	(-)
	22405		63620		188214	
	(1245)		(22405)		(75146)	
	493220 *		581502 **		18397910	
	(645902)		(459920)		(17996369)	

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (Contd.)

Additional information forming part of accounts for the year ended March 31, 2008

24.2 Raw materials consumed

	Quantity		Value	
	2007-2008 MT	2006-2007 MT	2007-2008 (Rs '000)	2006-2007 (Rs '000)
Concentrate own production	143800	132435	7439201	6313287
Concentrate excluding own production	65617	58395	5538321	4754444
Cathode	627	2391	214219	829591

24.3 Imported and indigenous raw materials, stores, spare parts and components consumed (as certified by the management)

RAW MATERIALS :	%	%		
Imported	96.46	85.01	5845469	4747171
Indigenous	3.54	14.99	214219	836864
	<u>100.00</u>	<u>100.00</u>	<u>6059688</u>	<u>5584035</u>

STORES & SPARES :

(Direct and Stores & Spares booked in Mine Development, Shut-down and Power & Fuel)

Imported	2.09	2.36	30903	38571
Indigenous	97.91	97.64	1450896	1594829
	<u>100.00</u>	<u>100.00</u>	<u>1481799</u>	<u>1633400</u>

24.4 C.I.F. value of imports

Raw Material	5850489	3125036
Components, spare parts and stores	29827	20916
Capital goods	10567	42860
	<u>5890884</u>	<u>3188812</u>

24.5 Expenditure in foreign currency

Technical Know-how	7797	—
Travelling	2343	2760
Advertisement	—	—
Professional consultation fees	13695	26095
Others	154	—
	<u>23990</u>	<u>28855</u>

SCHEDULES FORMING PART OF THE ACCOUNTS

24. NOTES ON ACCOUNTS (Contd.)

Additional information forming part of accounts for the year ended March 31, 2008

	<u>2007-2008</u>	<u>2006-2007</u>
	<u>(Rs '000)</u>	<u>(Rs '000)</u>
24.6 Earning in foreign exchange		
Exports of goods (FOB)	754602	781980
	<u>754602</u>	<u>781980</u>
24.7 Payment to Whole-time Directors		
Salaries and allowances	2280	2227
Company's contribution to		
Provident and other funds	266	242
Re-imbursement of medical expenses	80	478
Leave encashment	-	657
Gratuity	-	350

NOTE :

In addition the Whole-time Directors are allowed the use of company car for private purpose and have been provided with residential accomodation as per terms of their appointment/Government guidelines and the charges are recovered at the rates prescribed by the Government.

CAPITAL EXPENDITURE ON TOWNSHIP AND SOCIAL AMENITIES

as at March 31, 2008

(Rs. '000)					
Assets	Total expenditure upto 31.03.2007	Additions/ adjustments during the year	Total expenditure upto 31.03.2008	Depreciation upto 31.03.2008	Depreciated value as at 31.03.2008
Land	16579	–	16579	846	15733
Roads & bridges	12005	1957	13962	6586	7376
Drainage, sewerage & water supply	52640	–	52640	21226	31414
Township building including hospital quarters & others	374763	-406	374357	148554	225803
School & hospital buildings	20952	-864	20088	9712	10376
Electrical installations & electrification	25417	2126	27543	16016	11527
Hospital equipments	17543	3648	21191	14099	7092
Hospitals, schools & guest house furniture	5431	279	5710	4834	876
	525330	6740	532070	221873	310197

SOCIAL OVERHEADS INCLUDING EXPENDITURE ON TOWNSHIP

for the period ended March 31, 2008

		(Rs. '000)
	<u>2007-08</u>	<u>2006-07</u>
TOWNSHIP :		
Administration & Maintenance Expenses :		
Employees remuneration & benefits	43460	40267
Power, fuel & water	135351	104437
Consumption of stores/Repairs & maintenance	3794	3696
Depreciation	11843	8225
Others	<u>5727</u>	<u>5886</u>
	200175	162511
Less :		
Township Income	<u>74279</u>	<u>39716</u>
Net expenditure on township	<u>125896</u>	<u>122795</u>
OTHER SOCIAL OVERHEADS :		
Maintenance of school & educational facilities	1602	10374
Less : Receipts	<u>324</u>	<u>-</u>
	1278	10374
Medical Facilities	116136	87690
Less : Receipts	<u>2274</u>	<u>1793</u>
	113862	85897
Staff Welfare	<u>14278</u>	<u>9526</u>
Net expenditure on other social overheads	<u>129418</u>	<u>105797</u>
Total expenditure	<u><u>255314</u></u>	<u><u>228592</u></u>

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

Amount in Rs. '000

I. Registration Details

Registration No. State Code
Balance Sheet Date

II. Capital Raised during the Year

Public Issue Rights Issue
Bonus Issue Private Placement

III. Position of Mobilisation and Deployment of Funds

Total Liabilities Total Assets

Sources of Funds

Paid-Up Capital
* Reserves & Surplus

* Share money awaiting allotment of Equity Shares

Secured Loans Unsecured Loans

Application of Funds

Net Fixed Assets Investments
Net Current Assets Deferred Tax Assets
Accumulated Losses Misc. Expenditure

IV. Performance of Company

Turnover * Total Expenditure
Profit/(Loss) Before Tax Profit/(Loss) After Tax
Earning Per Share (in Rs.) Dividend rate %
- Basic 3.21
- Diluted 2.76

* includes Other income and Internal issues.

V. Generic Names of Three Principal Products / Services of Company

(i) Item Code No. (ITC Code)
Product Description Copper Wire Bar
(ii) Item Code No. (ITC Code)
Product Description Copper Wire Rod
(iii) Item Code No. (ITC Code)
Product Description Refined Copper Cathode

CASH FLOW STATEMENT

FOR YEAR ENDED 31st MARCH 2008

(Rs. '000)

	Year ended 31st March 2008	Year ended 31st March 2007
A. CASH FLOW FROM OPERATING ACTIVITIES :		
NET PROFIT/(LOSS) BEFORE TAX AS PER PROFIT AND LOSS ACCOUNT	3,024,959	3,318,289
Adjusted for :		
Depreciation	158,423	269,881
Provisions charged	465,501	496,447
Provisions written back	(122,125)	(44,639)
Provision for tax	(480,000)	(210,700)
Interest charged	280,105	348,526
Amortisation	660,493	624,660
Interest income	(425,993)	(120,589)
Net prior year adjustments	76,025	6,331
Voluntary Retirement expenditure written off	17,692	39,013
Grant in Aid from Govt. of India utilised	(17,692)	(39,013)
Gain on disposal of fixed assets	(98,520)	(20,097)
OPERATING PROFIT/ (LOSS) BEFORE WORKING CAPITAL CHANGES	3,538,868	4,668,109
Adjusted for :		
Decrease/(Increase) in Trade & other Receivables	(57,107)	9,723
Decrease/(Increase) in Inventories	248,966	(366,776)
Increase in Loans & Advances	(805,408)	(78,984)
Increase/(Decrease) in Trade Payables & Provisions	(182,578)	613,682
CASH GENERATED FROM OPERATIONS	2,742,741	4,845,754
Net Prior period adjustments	(76,025)	(6,331)
Taxes paid	(185,706)	(115,977)
CASH FLOW FROM OPERATING ACTIVITIES BEFORE EXTRA ORDINARY ITEMS	2,481,010	4,827,826
Expenditure on Voluntary Retirement	(17,692)	(39,013)
NET CASH FROM OPERATING ACTIVITIES AFTER EXTRA ORDINARY ITEMS(A)	2,463,318	4,788,813
B. CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Fixed Assets	(313,155)	(255,065)
Sale of Fixed Assets	130,916	29,730
Interest received	376,990	111,949
Mine Development Expenditure	(897,875)	(770,756)
NET CASH USED IN INVESTING ACTIVITIES (B)	(703,124)	(884,142)
C. CASH FLOW FROM FINANCING ACTIVITIES		
Share money received from Govt. of India	-	285,000
Loan from Govt. of India	-	250,000
7.5% Corporate Term Loan from Bank	-	750,000
Redemption of 14.00% Secured Debentures	(125,000)	(250,000)
Transfer of Public Deposit with interest to Investor Protection Fund	(54)	-
Repayment of 7.50% Corporate Term Loan	(375,000)	-
Redemption of 10.65% Secured Redeemable Non-convertible Bonds	-	(1,500,000)
Interest paid	(330,174)	(346,273)
NET CASH USED IN FINANCING ACTIVITIES (C)	(830,228)	(811,273)
NET INCREASE IN CASH AND CASH EQUIVALENT (A + B + C)	929,966	3,093,398
CASH AND CASH EQUIVALENTS - Opening Balance	4,348,601	1,255,203
CASH AND CASH EQUIVALENTS - Closing Balance	5,278,567	4,348,601
(details in Annexure - A)		

For and on behalf of the Board of Directors

C.S.Singhi
Company Secretary
Place : Kolkata
Dated : 27th June, 2008

M Samajpati
Director (Finance)

Satish C Gupta
Chairman-cum-Managing Director

CASH FLOW STATEMENT (Contd.)

ANNEXURE - A

		(Rs. '000)
1. CASH AND CASH EQUIVALENTS - Opening Balance as on	01.04.2007	01.04.2006
(i) Cash & Bank Balance	4,388,392	1,303,329
(ii) Cash Credit Balance	(39,791)	(48,126)
	<u>4,348,601</u>	<u>1,255,203</u>
CASH AND CASH EQUIVALENTS - Closing Balance as on	31.03.2008	31.03.2007
(i) Cash & Bank Balance	5,288,401	4,388,392
(ii) Cash Credit Balance	(9,834)	(39,791)
	<u>5,278,567</u>	<u>4,348,601</u>
2.	The Cash Flow Statement has been prepared under the "Indirect Method" as set out in Accounting Standard 3 on Cash Flow Statement issued by The Institute of Chartered Accountants of India.	

This is the Cash Flow Statement referred to in our report of even date attached.

For **K. B. CHANDNA & CO.**
Chartered Accountants

For **RAY & CO.**
Chartered Accountants

SANJEEV CHANDNA
(M No. 87354)
Partner
Dated : 27th June, 2008

SUBRATA ROY
(M No. 51205)
Partner
Dated : 27th June, 2008

Place : Kolkata



HINDUSTAN COPPER LIMITED

Regd. Office : Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata - 700019

FOLIO/ID NO	
NO.OF SHARES	

FORM OF PROXY

I/We _____ of _____ being a member/
members of Hindustan Copper Limited hereby appoint _____
of _____ or failing
him _____
of _____ as my/our proxy to
attend and vote for me/us on my/our behalf at the 41st Annual General Meeting of the Company to be held
on Thursday, the 28th August, 2008 at 3.30 PM and at any adjournment thereof.
Signed this _____ day of _____ 2008.

Affix one
rupee
Revenue
Stamp

- NOTE : (a) The form should be signed across the stamp as per specimen signature registered with the Company.
b) The form should be deposited in the registered office of the Company forty-eight hours before the commencement of the meeting.



HINDUSTAN COPPER LIMITED

Regd. Office : Tamra Bhavan, 1 Ashutosh Chowdhury Avenue, Kolkata - 700019

ATTENDANCE SLIP

41st Annual General Meeting to be held on Thursday,
the 28th August, 2008 at 3.30 pm at Tamra Bhavan,
1 Ashutosh Chowdhury Avenue, Kolkata - 700 019

NAME OF THE ATTENDING MEMBER
(IN BLOCK LETTERS)

Folio / ID No.

No. of shares held

NAME OF PROXY
(IN BLOCK LETTERS, TO BE FILLED

IN IF THE PROXY ATTENDS INSTEAD OF THE MEMBER)

I hereby record my presence at the 41st Annual General Meeting held on 28th August, 2008.

Signature of Member/Proxy



THIS ATTENDANCE SLIP DULY FILLED TO BE HANDED OVER AT THE ENTRANCE OF THE MEETING HALL

Comment on the accounts of Hindustan Copper Limited for the year ended 31st March, 2008 under Section 619(4) of the Companies Act, 1956.

The preparation of financial statements of Hindustan Copper Limited for the year ended 31st March 2008 in accordance with the financial reporting framework prescribed under the Companies Act, 1956 is the responsibility of the management of the company. The Statutory Auditor appointed by the Comptroller and Auditor General of India under Section 619(2) of the Companies Act, 1956 is responsible for expressing opinion on these financial statements under Section 227 of the Companies Act, 1956 based on independent audit in accordance with the auditing and assurance standards prescribed by their professional body, The Institute of Chartered Accountants of India. This is stated to have been done by them vide their Audit Report dated 27 June 2008.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit under Section 619(3)(b) of the Companies Act, 1956 of the financial statements of Hindustan Copper Limited for the year ended 31st March 2008. This supplementary audit has been carried out independently and is limited primarily to inquiries of the Statutory Auditors and company personnel and a selective examination of some of the accounting records. On the basis of my audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to Statutory Auditors' report under Section 619(4) of the Companies Act, 1956.

For and on the behalf of the
Comptroller & Auditor General of India

(A. Roychoudhury)

Principal Director of Commercial Audit
& Ex-Officio Member Audit Board - I
Kolkata

Place : Kolkata

Dated : 4th August, 2008